Answer: A. Always state whether a percent is markup or margin.

Clarity prevents pricing errors.

- ✗ B. Markup and margin always give the same price.: not true
- ✗ C. Only margin is ever used in business.: both used
- ✗ D. Percents never need a base.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q1 · question page 1015

ENT.PRICE.03 · Calculate break-even from stated assumptions

Fixed costs 800 dollars, price 20 dollars, variable cost 10 dollars. What is break-even?

Answer: C. 80 sales

800 / (20 - 10) = 80.

- ✗ A. 40 sales: divided by price
- ✗ B. 27 sales: divided by price plus cost
- ✗ D. 8,000 sales: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S49-M-Q2 · question page 1016

ENT.PRICE.03 · Calculate break-even from stated assumptions

What is profit exactly at break-even?

Answer: B. Zero

Revenue equals cost.

- ✗ A. Equal to fixed costs: covered, not profit
- ✗ C. Negative: that is below break-even
- ✗ D. Equal to revenue: costs are subtracted

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q3 · question page 1017

ENT.PRICE.03 · Calculate break-even from stated assumptions

What does each sale contribute toward fixed costs?

Answer: D. Price minus variable cost

Contribution = price - variable cost.

- ✗ A. The whole price: ignores variable cost
- ✗ B. Price plus variable cost: wrong sign
- ✗ C. Fixed cost divided by price: not contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q4 · question page 1018

ENT.PRICE.03 · Calculate break-even from stated assumptions

Fixed costs 500 dollars, contribution 3 dollars per sale. What is break-even, rounded up?

Answer: A. 167 sales

500 / 3 = 166.67, rounded up to 167.

- ✗ B. 166 sales: rounded down
- ✗ C. 1,500 sales: multiplied
- ✗ D. 503 sales: added

Arithmetic checked by code: yes. Sources: none (stable)

S49-M-Q5 · question page 1019

ENT.PRICE.03 · Calculate break-even from stated assumptions

If the price drops and costs stay the same, what happens to break-even?

Answer: C. It rises

Less contribution means more sales needed.

✗ A. It becomes zero: no

✗ B. It stays the same: contribution changed

✗ D. It falls: smaller contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-B1-Q1 · question page 1020

ENT.PRICE.03 · Dividing and rounding up

What is 300 / 7, rounded up?

Answer: D. 43

300 / 7 = 42.86, up to 43.

✗ A. 44: too high

✗ B. 2,100: multiplied

✗ C. 42: rounded down

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q2 · question page 1021

ENT.PRICE.03 · Dividing and rounding up

Why round break-even UP?

Answer: B. Rounding down leaves costs uncovered

Round up to cover costs.

✗ A. Rounding does not matter: it does

✗ C. Rounding up always gives the wrong answer: no

✗ D. Partial sales are common: not possible

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-B1-Q3 · question page 1022

ENT.PRICE.03 · Dividing and rounding up

What is 400 / 8?

Answer: A. 50

400 / 8 = 50.

- ✗ B. 3,200: multiplied
- ✗ C. 408: added
- ✗ D. 32: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q4 · question page 1023

ENT.PRICE.03 · Dividing and rounding up

Does 41 x 6 cover 250?

Answer: C. No, it is 246

41 x 6 = 246 < 250.

- ✗ A. No, it is 206: miscalculated
- ✗ B. Yes, it is 256: miscalculated
- ✗ D. Yes, it is 250: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q5 · question page 1024

ENT.PRICE.03 · Dividing and rounding up

What is 1,000 / 9, rounded up?

Answer: D. 112

1,000 / 9 = 111.1, up to 112.

- ✗ A. 110: too low
- ✗ B. 111: rounded down
- ✗ C. 9,000: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q1 · question page 1025

ENT.PRICE.03 · Apply it: test a plan with break-even

A food truck has fixed costs of 2,400 dollars a month. Each meal sells for 12 dollars and costs 4 dollars to make. How many meals per month to break even?

Answer: B. 300 meals

2,400 / 8 = 300.

- ✗ A. 200 meals: divided by price
- ✗ C. 150 meals: divided by 16
- ✗ D. 600 meals: divided by cost

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q2 · question page 1026

ENT.PRICE.03 · Apply it: test a plan with break-even

A food truck needs 300 meals a month to break even (2,400 dollars of fixed costs, a 12-dollar price, a 4-dollar cost per meal). It is open 25 days a month. About how many meals per day does it need to break even?

Answer: A. 12 meals

300 / 25 = 12.

- ✗ B. 8 meals: used price
- ✗ C. 25 meals: used days
- ✗ D. 300 meals: per month

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q3 · question page 1027

ENT.PRICE.03 · Apply it: test a plan with break-even

The food truck must sell 12 meals a day for 25 days to break even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal). The owner expects 9 meals a day. What does that

mean?

Answer: D. The plan loses money unless something changes

9 x 25 = 225 meals; 225 x 8 = 1,800 dollars of contribution against 2,400 of fixed costs, a 600-dollar loss.

- ✗ A. Break-even does not matter: it does
- ✗ B. Costs will fall automatically as the truck gets busier: not stated
- ✗ C. The plan makes a large profit: below break-even

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q4 · question page 1028

ENT.PRICE.03 · Apply it: test a plan with break-even

The food truck has 2,400 dollars of fixed costs a month and a 4-dollar cost per meal. If it raises its price from 12 to 14 dollars, what is the new break-even per month?

Answer: C. 240 meals

2,400 / (14 - 4) = 240.

- ✗ A. 172 meals: divided by price
- ✗ B. 400 meals: subtracted wrong
- ✗ D. 300 meals: old price

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q5 · question page 1029

ENT.PRICE.03 · Apply it: test a plan with break-even

Which assumption should be written down with the food truck's break-even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal)?

Answer: D. Meal cost stays 4 dollars

Costs and prices drive the result.

- ✗ A. The logo stays the same: irrelevant

✗ B. The truck color: irrelevant

✗ C. The owner's favorite meal: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-F2-Q1 · question page 1030

ENT.PRICE.03 · Handle the complications: changing assumptions

A studio's break-even was 50 classes using a 30-dollar price and 10-dollar cost (1,000 dollars fixed). Rent rises by 200 dollars. What is the new break-even?

Answer: A. 60 classes

1,200 / 20 = 60.

✗ B. 50 classes: old

✗ C. 70 classes: added 20

✗ D. 40 classes: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q2 · question page 1031

ENT.PRICE.03 · Handle the complications: changing assumptions

A seller forgot payment fees of 1 dollar per sale. Price 15, variable cost 5, fixed 600. What is the corrected break-even, rounded up?

Answer: B. 67 sales

600 / (15 - 5 - 1) = 66.7, up to 67.

✗ A. 55 sales: added fee to price

✗ C. 60 sales: ignored fee

✗ D. 40 sales: divided by price

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q3 · question page 1032

ENT.PRICE.03 · Handle the complications: changing assumptions

Break-even is 200 units, but the market research suggests only about 120 buyers. What is the best response?

Answer: A. Rethink price, costs or the plan before launching

A gap signals the plan needs work.

- ✗ B. Launch anyway and hope that more buyers appear later: risky
- ✗ C. Ignore the research: risky
- ✗ D. Double the fixed costs: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-F2-Q4 · question page 1033

ENT.PRICE.03 · Handle the complications: changing assumptions

Variable cost is 0 dollars for a digital download. Fixed costs are 900 dollars and price is 15 dollars. What is break-even?

Answer: D. 60 sales

900 / 15 = 60.

- ✗ A. 13,500 sales: multiplied
- ✗ B. 0 sales: fixed costs remain
- ✗ C. 900 sales: used 1 dollar

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q5 · question page 1034

ENT.PRICE.03 · Handle the complications: changing assumptions

Which statement is accurate?

Answer: A. Break-even is only as good as its assumptions.

Recalculate when assumptions change.

- ✗ B. Break-even ignores fixed costs.: it uses them
- ✗ C. Break-even guarantees the business will succeed.: no

✗ D. Break-even never changes once found.: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-M-Q1 · question page 1036

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Using 2.9 percent + 0.30 dollars, what is the fee on a 100-dollar sale?

Answer: B. 3.20 dollars

0.029 x 100 + 0.30 = 3.20.

✗ A. 2.90 dollars: left out the fixed part
✗ C. 0.30 dollars: fixed part only
✗ D. 3.00 dollars: used 3 percent

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q2 · question page 1037

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Using the same fee, how much does the business receive from a 100-dollar sale?

Answer: D. 96.80 dollars

100 - 3.20 = 96.80.

✗ A. 97.10 dollars: left out the fixed part
✗ B. 99.70 dollars: fixed part only
✗ C. 100.00 dollars: ignored the fee

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q3 · question page 1038

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Why does the fixed part hurt small sales most?

Answer: C. It is a larger share of a small price

A fixed amount is a bigger percent of a small sale.

- ✗ A. Small sales have no percentage fee: they do
- ✗ B. It is charged only on large sales: it applies to every sale
- ✗ D. Processors waive fees on large sales: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-M-Q4 · question page 1039

ENT.PRICE.04 · Calculate processing fees and include them in pricing

On a 3-dollar sale, what percent of the price is the 0.30-dollar fixed part?

Answer: A. 10 percent

0.30 / 3 = 0.10.

- ✗ B. 30 percent: used cents as percent
- ✗ C. 3 percent: used the percentage rate
- ✗ D. 1 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q5 · question page 1040

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Where should processing fees appear when setting prices?

Answer: C. In the cost of each sale

Fees reduce what each sale brings in.

- ✗ A. Only in the yearly tax return: they affect each sale
- ✗ B. Only in the owner's personal budget: business cost
- ✗ D. Nowhere, because customers pay them separately: the business pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q1 · question page 1041

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.03 x 50 + 0.25?

Answer: D. 1.75

1.50 + 0.25 = 1.75.

- ✗ A. 1.50: forgot fixed part
- ✗ B. 0.28: added rates
- ✗ C. 150.25: used 3 not 0.03

Arithmetic checked by code: yes. Sources: none (stable)

S50-B1-Q2 · question page 1042

ENT.PRICE.04 · Percent of an amount plus a fixed amount

2 percent as a decimal is what?

Answer: B. 0.02

2 / 100 = 0.02.

- ✗ A. 0.002: three places
- ✗ C. 0.2: one place
- ✗ D. 2.0: not converted

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q3 · question page 1043

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.02 x 80 + 0.10?

Answer: A. 1.70

1.60 + 0.10 = 1.70.

- ✗ B. 0.12: added rates
- ✗ C. 1.60: forgot fixed part

✗ D. 160.10: used 2

Arithmetic checked by code: yes. Sources: none (stable)

S50-B1-Q4 · question page 1044

ENT.PRICE.04 · Percent of an amount plus a fixed amount

A fee of 25 dollars on a 20-dollar sale suggests what?

Answer: B. The percent was not converted to a decimal

Check that fees are small compared with the sale.

✗ A. The fee is correct: too large
✗ C. The fixed part of the fee was forgotten entirely: opposite
✗ D. The sale was 2,000 dollars: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q5 · question page 1045

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.04 x 25 + 0.50?

Answer: C. 1.50

1.00 + 0.50 = 1.50.

✗ A. 1.00: forgot fixed part
✗ B. 0.54: added rates
✗ D. 100.50: used 4

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q1 · question page 1046

ENT.PRICE.04 · Apply it: price with fees included

A seller's cost per item is 12 dollars and she charges 20 dollars. Fee is 2.9 percent + 0.30 dollars. What does each sale contribute after the fee?

Answer: D. 7.12 dollars

Fee 0.88; 20 - 12 - 0.88 = 7.12.

- ✗ A. 7.42 dollars: left out 0.30
- ✗ B. 8.00 dollars: ignored the fee
- ✗ C. 7.70 dollars: only 0.30

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q2 · question page 1047

ENT.PRICE.04 · Apply it: price with fees included

A café sells 2-dollar cookies by card. Same fee. What is the fee per cookie?

Answer: A. 0.36 dollars

0.058 + 0.30 = 0.358, about 0.36.

- ✗ B. 0.58 dollars: used 29 percent
- ✗ C. 0.30 dollars: only the fixed part
- ✗ D. 0.06 dollars: left out fixed part

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q3 · question page 1048

ENT.PRICE.04 · Apply it: price with fees included

To reduce the fee share on small items, which option fits?

Answer: B. Encourage bundles, like 3 cookies for one payment

One payment for several items shares the fixed part.

- ✗ A. Hide the fee from her records: inaccurate
- ✗ C. Raise the fixed fee by choosing a new processor: worse
- ✗ D. Split every sale into smaller payments: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F1-Q4 · question page 1049

ENT.PRICE.04 · Apply it: price with fees included

Monthly card sales are 4,000 dollars over 200 sales. Same fee. What are total fees?

Answer: C. 176 dollars

0.029 x 4,000 + 0.30 x 200 = 116 + 60 = 176.

- ✗ A. 1,160 dollars: used 29 percent
- ✗ B. 60 dollars: fixed parts only
- ✗ D. 116 dollars: left out fixed parts

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q5 · question page 1050

ENT.PRICE.04 · Apply it: price with fees included

Processor A: 2.6 percent + 0.10 dollars. Processor B: 2.9 percent + 0.30 dollars. Which is cheaper for a 20-dollar sale?

Answer: D. A, at 0.62 dollars

A: 0.52 + 0.10 = 0.62; B: 0.58 + 0.30 = 0.88.

- ✗ A. B, at 0.88 dollars: B is higher
- ✗ B. A, at 0.52 dollars: left out fixed part
- ✗ C. They cost the same: they differ

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q1 · question page 1051

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

A processor also charges 15 dollars a month. A seller has 30 sales a month. How much does this add per sale?

Answer: A. 0.50 dollars

15 / 30 = 0.50.

✗ B. 0.15 dollars: moved decimal

✗ C. 2.00 dollars: divided 30 by 15

✗ D. 15.00 dollars: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q2 · question page 1052

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

An owner wants to add a card surcharge to customers. What should she check first?

Answer: B. Laws and processor rules on surcharges

Surcharge rules vary by place and processor.

✗ A. Nothing; surcharges are always allowed: rules vary

✗ C. Only whether customers will notice: not the rule

✗ D. Whether her competitors like the idea: not the rule

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F2-Q3 · question page 1053

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

An invoice of 1,000 dollars is paid by card at 2.9 percent + 0.30. What is received?

Answer: D. 970.70 dollars

1,000 - 29.30 = 970.70.

✗ A. 971.00 dollars: left out 0.30

✗ B. 999.70 dollars: only 0.30

✗ C. 1,000.00 dollars: ignored fee

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q4 · question page 1054

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

A seller compares processors only on the percentage. What might she miss?

Answer: C. Fixed and monthly fees

All parts of the fee matter.

- ✗ A. The weather: irrelevant
- ✗ B. Her customers' names: irrelevant
- ✗ D. Her own logo colors: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F2-Q5 · question page 1055

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

Which statement is accurate?

Answer: B. Fees vary by provider and plan, so read current terms.

The rates in this course are assumptions.

- ✗ A. Every payment processor charges exactly 2.9 percent plus 0.30 dollars.: example only
- ✗ C. Fees never change.: they can
- ✗ D. Fees only apply to large businesses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q1 · question page 1057

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

A 25-dollar item costs 15 dollars. With a 20 percent discount, what is the new price?

Answer: D. 20 dollars

25 x 0.80 = 20.

- ✗ A. 24.80 dollars: subtracted 0.20
- ✗ B. 5 dollars: only the discount
- ✗ C. 30 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-M-Q2 · question page 1058

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

Same item. What is the contribution after the discount?

Answer: C. 5 dollars

20 - 15 = 5.

- ✗ A. 20 dollars: the price
- ✗ B. 15 dollars: the cost
- ✗ D. 10 dollars: before discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-M-Q3 · question page 1059

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

What should a refund policy state?

Answer: B. The time limit, return condition and who pays shipping

Clear terms prevent disputes.

- ✗ A. Only the store's opening date: not policy terms
- ✗ C. Nothing at all, because written policies only confuse customers: clear policies help
- ✗ D. Only the owner's favorite products: not policy terms

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q4 · question page 1060

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

When should a refund policy be shown?

Answer: A. Before customers buy

Posting it first sets expectations.

- ✗ B. Never: customers need it
- ✗ C. Only after a complaint: too late
- ✗ D. Only once a year in an email: not reliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q5 · question page 1061

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

A 10-dollar discount on an item with a 12-dollar contribution leaves what contribution?

Answer: B. 2 dollars

12 - 10 = 2.

- ✗ A. 12 dollars: ignored discount
- ✗ C. 22 dollars: added
- ✗ D. 10 dollars: the discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q1 · question page 1062

ENT.PRICE.05 · Applying a percent decrease

What is 50 with 20 percent off?

Answer: D. 40

50 x 0.80 = 40.

- ✗ A. 10: only the discount
- ✗ B. 30: took 20 off
- ✗ C. 49.80: subtracted 0.20

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q2 · question page 1063

ENT.PRICE.05 · Applying a percent decrease

15 percent off means multiply by what?

Answer: C. 0.85

1 - 0.15 = 0.85.

- ✗ A. 85: not a decimal
- ✗ B. 1.15: that is an increase
- ✗ D. 0.15: that is the discount

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-B1-Q3 · question page 1064

ENT.PRICE.05 · Applying a percent decrease

What is 60 with 25 percent off?

Answer: B. 45

60 x 0.75 = 45.

- ✗ A. 15: only the discount
- ✗ C. 35: took 25 off
- ✗ D. 75: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q4 · question page 1065

ENT.PRICE.05 · Applying a percent decrease

What is 10 percent of 30?

Answer: C. 3

0.10 x 30 = 3.

- ✗ A. 0.3: moved too far
- ✗ B. 27: subtracted

✗ D. 300: multiplied by 10

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q5 · question page 1066

ENT.PRICE.05 · Applying a percent decrease

What is 80 with 10 percent off?

Answer: A. 72

80 x 0.90 = 72.

✗ B. 88: added
✗ C. 8: only the discount
✗ D. 70: took 10 off

Arithmetic checked by code: yes. Sources: none (stable)

S51-F1-Q1 · question page 1067

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A shop sells 100 shirts a month at 30 dollars with a 18-dollar cost. A 25 percent sale is planned. How many shirts must sell during the sale to earn the same total contribution, rounded up?

Answer: D. 267 shirts

Old: 100 x 12 = 1,200. New price 22.50; contribution 4.50; 1,200 / 4.50 = 266.7, up to 267.

✗ A. 200 shirts: guessed double
✗ B. 125 shirts: added 25 percent
✗ C. 100 shirts: ignored discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-F1-Q2 · question page 1068

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A customer returns a 50-dollar item for a full refund. The processor kept a 1.75-dollar fee and

does not return it. The item can be resold. What did the return cost the business?

Answer: C. 1.75 dollars

Only the kept fee is lost.

- ✗ A. 0 dollars: fee kept
- ✗ B. 50 dollars: item resold
- ✗ D. 51.75 dollars: item resold

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q3 · question page 1069

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A returned item arrives damaged and cannot be resold. Its cost was 18 dollars. The refund was 30 dollars. What is the loss compared with no sale?

Answer: D. 18 dollars

The money returned evens out; the item cost is lost.

- ✗ A. 30 dollars: the refund was money received first
- ✗ B. 48 dollars: added
- ✗ C. 12 dollars: the contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q4 · question page 1070

ENT.PRICE.05 · Apply it: evaluate a sale or refund

Which refund policy is clearest?

Answer: B. "Returns within 30 days, unused, buyer pays return shipping."

Specific terms avoid disputes.

- ✗ A. "No questions, no answers, contact us someday.": unclear
- ✗ C. "Returns are maybe possible, depending on my mood that week.": unclear

✗ D. "Ask a friend about our return rules.": unclear

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q5 · question page 1071

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A 10 percent discount for first-time buyers brings 40 new customers who keep buying later. Why might it be worth it?

Answer: B. Repeat purchases can outweigh the one-time discount

The value depends on what happens after the discount.

✗ A. First-time buyers never return: not stated
✗ C. Discounts always increase profit on every single sale: not always
✗ D. Discounts remove all costs: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q1 · question page 1072

ENT.PRICE.05 · Handle the complications: stacking and abuse

A customer uses a 20 percent coupon on top of a 20 percent sale. What total discount does she get on a 50-dollar item, applied one after the other?

Answer: A. 36 percent

50 x 0.8 x 0.8 = 32; 18 / 50 = 0.36.

✗ B. 20 percent: only one
✗ C. 4 percent: multiplied percents
✗ D. 40 percent: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-F2-Q2 · question page 1073

ENT.PRICE.05 · Handle the complications: stacking and abuse

Many customers return items after wearing them once. What should the owner change?

Answer: B. Add a clear "unused" condition to the policy

Clear conditions limit abuse.

- ✗ A. Accept every return forever, in any condition: continues losses
- ✗ C. Accuse customers publicly: harmful
- ✗ D. Stop selling online: too extreme

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q3 · question page 1074

ENT.PRICE.05 · Handle the complications: stacking and abuse

A store says "all sales final" but the law where it sells may require some refunds. What should it check?

Answer: C. Local consumer protection rules

Policies must follow applicable law.

- ✗ A. Only competitors' policies: not the law
- ✗ B. Only its logo: irrelevant
- ✗ D. Nothing; the store decides alone: laws may apply

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q4 · question page 1075

ENT.PRICE.05 · Handle the complications: stacking and abuse

A 20-dollar item has a 6-dollar contribution, so its cost is 14 dollars. The owner offers 30 percent off. What is the contribution per sale now?

Answer: D. 0 dollars

20 x 0.70 = 14; 14 - 14 = 0. Every sale now only covers its cost.

- ✗ A. 14 dollars: that is the cost
- ✗ B. 12 dollars: added
- ✗ C. 6 dollars: ignores the discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-F2-Q5 · question page 1076

ENT.PRICE.05 · Handle the complications: stacking and abuse

Which statement is accurate?

Answer: A. Discounts should be checked against contribution before offering them.

Check the math first.

- ✗ B. Bigger discounts always mean more profit.: not always
- ✗ C. Discounts are always free marketing.: they cost money
- ✗ D. Refund policies are optional for online stores, so no one needs to post one.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q1 · question page 1078

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

A job earns 120 dollars of profit and takes 4 hours in total. What is the effective hourly rate?

Answer: C. 30 dollars an hour

120 / 4 = 30.

- ✗ A. 40 dollars an hour: used 3 hours
- ✗ B. 124 dollars an hour: added
- ✗ D. 480 dollars an hour: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S52-M-Q2 · question page 1079

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

What is capacity?

Answer: A. The most work the business can do in a period

Capacity is a work limit.

- ✗ B. The size of the logo file: not capacity
- ✗ C. The number of followers on social media: not capacity
- ✗ D. The amount of money in savings: not capacity

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q3 · question page 1080

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

Which hidden time should be counted for a house-cleaning job?

Answer: D. Travel and invoicing time

All time the job requires counts.

- ✗ A. Time spent sleeping at night: not the job
- ✗ B. Time the owner spends on a personal hobby: not the job
- ✗ C. Time a customer spends at work: not her time

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q4 · question page 1081

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

A job pays 200 dollars of profit for 5 hours of work plus 3 hours of travel and email. What is the true hourly rate?

Answer: B. 25 dollars an hour

200 / 8 = 25.

- ✗ A. 40 dollars an hour: ignored hidden time
- ✗ C. 66.67 dollars an hour: used only hidden time
- ✗ D. 1,600 dollars an hour: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S52-M-Q5 · question page 1082

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

Capacity is full. Which option lets the business complete more work safely?

Answer: D. Get qualified help or improve the process

Qualified help or a better process adds capacity safely. Raising prices is a separate choice: it manages demand but does not add capacity.

- ✗ A. Work 20 hours a day indefinitely: unsustainable and unsafe
- ✗ B. Ignore all new requests without replying: loses goodwill and adds no capacity
- ✗ C. Take every new job and skip quality checks: hurts quality and safety

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q1 · question page 1083

ENT.PRICE.06 · Seats on a bus

A full bus is like what?

Answer: C. A full work week

Capacity is limited.

- ✗ A. A big savings account: no
- ✗ B. An empty calendar: opposite
- ✗ D. A new logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q2 · question page 1084

ENT.PRICE.06 · Seats on a bus

The "hidden seats" are like what?

Answer: B. Travel and paperwork time

Hidden tasks take hours.

✗ A. Customer reviews online: no

✗ C. Free time: no

✗ D. Extra profit: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q3 · question page 1085

ENT.PRICE.06 · Seats on a bus

A bigger bus is like what choice?

Answer: D. Getting help

Help adds capacity.

✗ A. Doing nothing: no change

✗ B. Working more hours: more trips

✗ C. Raising prices: pricier ticket

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q4 · question page 1086

ENT.PRICE.06 · Seats on a bus

A pricier ticket is like what choice?

Answer: C. Raising prices

Higher prices manage demand.

✗ A. More trips: more hours

✗ B. Lowering quality: not the picture

✗ D. Getting help: bigger bus

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q5 · question page 1087

ENT.PRICE.06 · Seats on a bus

Can more riders fit once all seats are full?

Answer: A. No, not on that trip

Full means full.

- ✗ B. Only on weekends: no
- ✗ C. Yes, always: seats are full
- ✗ D. Only if they stand on the roof: unsafe

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F1-Q1 · question page 1088

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

Job A: 150 dollars profit, 3 hours total. Job B: 240 dollars profit, 6 hours total. Which pays more per hour?

Answer: B. A, at 50 dollars an hour

A: 50; B: 40.

- ✗ A. B, at 40 dollars an hour: B is lower
- ✗ C. They pay the same: they differ
- ✗ D. B, at 240 dollars: not per hour

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q2 · question page 1089

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A tutor can work 25 hours a week. Each student takes 1.5 hours including prep. What is the most students per week, rounded down?

Answer: A. 16 students

25 / 1.5 = 16.7, so 16 whole students.

- ✗ B. 37 students: multiplied
- ✗ C. 25 students: ignored prep

✗ D. 17 students: rounded up

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q3 · question page 1090

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A baker charges 60 dollars for a custom cake with 20 dollars of ingredients. It takes 5 hours. What is the hourly rate on profit?

Answer: D. 8 dollars an hour

(60 - 20) / 5 = 8.

✗ A. 12 dollars an hour: ignored ingredients
✗ B. 40 dollars an hour: not per hour
✗ C. 4 dollars an hour: used 10 hours

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q4 · question page 1091

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A custom cake takes 5 hours and uses 20 dollars of ingredients. The baker wants at least 20 dollars an hour of profit on it. What price is needed?

Answer: B. 120 dollars

20 x 5 + 20 = 120.

✗ A. 25 dollars: per hour plus 5
✗ C. 100 dollars: left out ingredients
✗ D. 80 dollars: too low

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q5 · question page 1092

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A photographer is fully booked for 2 months. What does this suggest?

Answer: C. Prices may be too low for the demand

Full capacity can support a price increase.

- ✗ A. She should lower prices further: demand already exceeds capacity
- ✗ B. She should stop marketing forever: too extreme
- ✗ D. Nothing; bookings never matter: they signal demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q1 · question page 1093

ENT.PRICE.06 · Handle the complications: burnout and hidden work

An owner works 70 hours a week to meet demand and feels exhausted. What is the main risk?

Answer: D. Mistakes and burnout that hurt the business

Overwork harms quality and health.

- ✗ A. Customers will pay double automatically: not stated
- ✗ B. Capacity grows by itself: no
- ✗ C. More profit with no downside: ignores risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q2 · question page 1094

ENT.PRICE.06 · Handle the complications: burnout and hidden work

A job seems to pay 50 dollars an hour, but the client asks for many unpaid revisions, doubling the time. What is the real rate?

Answer: B. 25 dollars an hour

Double the time halves the rate.

- ✗ A. 75 dollars an hour: averaged wrongly
- ✗ C. 100 dollars an hour: wrong direction
- ✗ D. 50 dollars an hour: ignored revisions

Arithmetic checked by code: yes. Sources: none (stable)

S52-F2-Q3 · question page 1095

ENT.PRICE.06 · Handle the complications: burnout and hidden work

What helps prevent unpaid revisions?

Answer: B. Stating how many revisions the price includes

Clear scope protects time.

- ✗ A. Charging nothing at all for the first job with a client: unrelated
- ✗ C. Offering unlimited free changes: causes the problem
- ✗ D. Never talking about revisions: causes confusion

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q4 · question page 1096

ENT.PRICE.06 · Handle the complications: burnout and hidden work

A helper costs 20 dollars an hour and lets the owner take jobs earning 45 dollars an hour of profit before paying help. Ignoring other costs, what is left per helper hour?

Answer: C. 25 dollars

45 - 20 = 25.

- ✗ A. 65 dollars: added
- ✗ B. 45 dollars: ignored helper cost
- ✗ D. 20 dollars: helper cost

Arithmetic checked by code: yes. Sources: none (stable)

S52-F2-Q5 · question page 1097

ENT.PRICE.06 · Handle the complications: burnout and hidden work

Which statement is accurate?

Answer: A. Owner time is a real cost even when no one sends a bill for it.

Count all hours.

✗ B. Capacity never limits small businesses, because owners can always work more.: it does

✗ C. Hidden tasks take no time.: they do

✗ D. Owner time is always free.: it has value

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q1 · question page 1099

ENT.PRICE.07 · Decide when to raise prices and communicate the change

Which is a sign a price may be too low?

Answer: C. The owner is fully booked months ahead

Full demand can support higher prices.

✗ A. Customers sometimes compliment the product: not a pricing signal

✗ B. The owner bought a new phone: unrelated

✗ D. The logo was redesigned recently: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q2 · question page 1100

ENT.PRICE.07 · Decide when to raise prices and communicate the change

Supplies rise from 4 to 5 dollars per item and price stays 12 dollars. What is the new contribution?

Answer: D. 7 dollars

12 - 5 = 7.

✗ A. 17 dollars: added

✗ B. 1 dollar: the cost change

✗ C. 8 dollars: old contribution

Arithmetic checked by code: yes. Sources: none (stable)

S53-M-Q3 · question page 1101

ENT.PRICE.07 · Decide when to raise prices and communicate the change

What is a respectful way to raise prices?

Answer: A. Give notice and a short reason

Notice and honesty keep trust.

- ✗ B. Raise prices every week: confusing
- ✗ C. Blame customers for the change: harmful
- ✗ D. Change prices without telling anyone: surprises customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q4 · question page 1102

ENT.PRICE.07 · Decide when to raise prices and communicate the change

How often might a small business review prices?

Answer: B. Every 6 or 12 months, or when costs change

Regular reviews keep prices current.

- ✗ A. Never, because prices are set permanently at opening: not true
- ✗ C. Only once, on opening day: too rare
- ✗ D. Every hour: impractical

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q5 · question page 1103

ENT.PRICE.07 · Decide when to raise prices and communicate the change

After a raise, some customers leave. What should the owner check?

Answer: D. Whether total contribution went up or down

Fewer customers can still mean more money.

- ✗ A. Only competitors' logos: irrelevant
- ✗ B. Only whether anyone complained about the new price: not the full

picture

✗ C. Only the number of customers: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-B1-Q1 · question page 1104

ENT.PRICE.07 · Percent increase

What is 50 raised by 10 percent?

Answer: C. 55

50 x 1.10 = 55.

✗ A. 5: only the raise

✗ B. 50.10: added 0.10

✗ D. 60: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q2 · question page 1105

ENT.PRICE.07 · Percent increase

From 20 to 25 dollars is what percent increase?

Answer: A. 25 percent

5 / 20 = 0.25.

✗ B. 5 percent: dollar change

✗ C. 125 percent: ratio

✗ D. 20 percent: used new price

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q3 · question page 1106

ENT.PRICE.07 · Percent increase

A 15 percent raise means multiply by what?

Answer: B. 1.15

1 + 0.15 = 1.15.

- ✗ A. 0.15: only the raise
- ✗ C. 15: not a decimal
- ✗ D. 0.85: a decrease

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-B1-Q4 · question page 1107

ENT.PRICE.07 · Percent increase

What is 80 raised by 5 percent?

Answer: D. 84

80 x 1.05 = 84.

- ✗ A. 85: added 5
- ✗ B. 4: only the raise
- ✗ C. 80.05: added 0.05

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q5 · question page 1108

ENT.PRICE.07 · Percent increase

To find a percent change, divide the change by which price?

Answer: C. The old price

Percent change uses the original value.

- ✗ A. The cost: not the base
- ✗ B. The new price: wrong base
- ✗ D. Any price: base matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F1-Q1 · question page 1109

ENT.PRICE.07 · Apply it: test a price increase

A dog groomer has 50 clients at 40 dollars with a 15-dollar cost each. She raises the price to 48 dollars and 5 clients leave. What is the new total contribution?

Answer: A. 1,485 dollars

Old: 50 x 25 = 1,250. New: 45 x 33 = 1,485.

- ✗ B. 2,160 dollars: used price not contribution
- ✗ C. 1,650 dollars: no clients lost
- ✗ D. 1,250 dollars: old total

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q2 · question page 1110

ENT.PRICE.07 · Apply it: test a price increase

A dog groomer had 50 clients at 40 dollars with a 15-dollar cost each. After she raised the price to 48 dollars, 45 clients stayed. Did the raise help?

Answer: B. Yes, contribution rose by 235 dollars

Before: 50 x 25 = 1,250. After: 45 x 33 = 1,485. Contribution rose by 235 dollars.

- ✗ A. No, because she lost 5 of her clients: but earns more
- ✗ C. It made no difference: it changed
- ✗ D. No, contribution fell: it rose

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q3 · question page 1111

ENT.PRICE.07 · Apply it: test a price increase

Which notice is best?

Answer: A. "From March 1, prices rise to 48 dollars due to higher supply

costs."

Date, amount and reason.

- ✗ B. "Prices might change sometime, maybe.": unclear
- ✗ C. "Prices are higher now. Deal with it.": disrespectful
- ✗ D. No notice at all; she should just charge more at checkout from now on: surprises

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F1-Q4 · question page 1112

ENT.PRICE.07 · Apply it: test a price increase

A 40-dollar price raised by 12.5 percent becomes what?

Answer: C. 45 dollars

40 x 1.125 = 45.

- ✗ A. 52.50 dollars: added 12.5
- ✗ B. 5 dollars: only the raise
- ✗ D. 40.13 dollars: added 0.125

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q5 · question page 1113

ENT.PRICE.07 · Apply it: test a price increase

A loyal client has booked monthly for 3 years. What is a thoughtful option during a raise?

Answer: B. Keep the old price for a short grace period

Grace periods reward loyalty.

- ✗ A. Raise her price more than everyone else's price: unfair
- ✗ C. Hide the raise from her: dishonest
- ✗ D. Drop her as a client: unnecessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q1 · question page 1114

ENT.PRICE.07 · Handle the complications: fear and competitors

An owner fears that any raise will lose all customers. What evidence would help?

Answer: C. Testing a modest raise and tracking results

A small test produces data.

- ✗ A. Assuming the worst and never changing: no evidence
- ✗ B. Asking only family: biased
- ✗ D. Copying a random competitor's price: not her costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q2 · question page 1115

ENT.PRICE.07 · Handle the complications: fear and competitors

A competitor charges less. The owner's costs are higher because she uses better materials. What fits?

Answer: B. Explain the value and price to cover her costs

Price must cover costs; value explains it.

- ✗ A. Ignore costs entirely: risky
- ✗ C. Match the competitor's lower price, even if she loses money: unsustainable
- ✗ D. Use worse materials secretly: dishonest

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q3 · question page 1116

ENT.PRICE.07 · Handle the complications: fear and competitors

Prices rose 20 percent but sales fell 40 percent. Contribution per sale went from 10 to 14 dollars. Was it a gain? (Start with 100 sales.)

Answer: A. No, contribution fell from 1,000 to 840 dollars

60 x 14 = 840 < 1,000.

- ✗ B. No change at all: it changed
- ✗ C. Yes, contribution rose from 1,000 to 1,400 dollars: ignored lost sales
- ✗ D. Yes, from 1,000 to 1,200 dollars: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S53-F2-Q4 · question page 1117

ENT.PRICE.07 · Handle the complications: fear and competitors

Costs rose 10 percent but the owner has not reviewed prices in 3 years. What should she do?

Answer: D. Recalculate costs and review prices now

Regular review prevents shrinking margins.

- ✗ A. Cut quality quietly to avoid any price raise: may lose customers
- ✗ B. Stop tracking costs: harmful
- ✗ C. Wait another 3 years: costs keep rising

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q5 · question page 1118

ENT.PRICE.07 · Handle the complications: fear and competitors

Which statement is accurate?

Answer: B. A price increase can raise total contribution even if some customers leave.

Check the totals.

- ✗ A. Raises always double profit.: not true
- ✗ C. Losing any customer at all always means the business loses money overall.: not always
- ✗ D. Prices should never change.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q1 · question page 1120

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What does "Net 30" mean?

Answer: D. Payment is due 30 days after the invoice date

Net 30 sets the due date.

- ✗ A. The business must pay 30 dollars: not the meaning
- ✗ B. A 30 percent discount for paying early: not the meaning
- ✗ C. The customer may pay any time in the year: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q2 · question page 1121

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What is a deposit?

Answer: A. Money paid up front before work starts

Deposits come first.

- ✗ B. A refund paid after a customer complaint: not a deposit
- ✗ C. A bonus paid to employees: not a deposit
- ✗ D. A tax paid to the state: not a deposit

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q3 · question page 1122

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

An invoice dated June 1 is Net 30. When is it due?

Answer: C. July 1

June has 30 days: June 1 + 30 days = July 1.

✗ A. August 1: Net 60

✗ B. June 2: too early

✗ D. June 30 of next year: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q4 · question page 1123

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What are accounts receivable?

Answer: B. Money customers owe the business

Receivables are unpaid invoices.

✗ A. The value of equipment: assets, not receivables

✗ C. Cash in the owner's wallet: not receivable

✗ D. Money the business owes suppliers: payables

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q5 · question page 1124

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

Why ask for a deposit on a large custom order?

Answer: A. It reduces risk and helps pay for materials

Deposits protect cash.

✗ B. It lowers the business's taxes: not the purpose

✗ C. It replaces the need for an invoice: still invoice

✗ D. It guarantees the customer will love the order: no guarantee

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q1 · question page 1125

ENT.CASH.02 · Waiting for allowance

Doing chores before being paid is like what?

Answer: C. Working before an invoice is paid

Work comes before cash.

- ✗ A. Paying taxes: no
- ✗ B. Getting a deposit up front from the customer: paid first
- ✗ D. Buying supplies: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q2 · question page 1126

ENT.CASH.02 · Waiting for allowance

Needing lunch money while waiting is like what?

Answer: B. Bills due before payment arrives

The cash gap.

- ✗ A. A discount code for next time: no
- ✗ C. A refund: no
- ✗ D. Extra profit for the whole month: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q3 · question page 1127

ENT.CASH.02 · Waiting for allowance

Getting part of the allowance first is like what?

Answer: C. A deposit

Money before work.

- ✗ A. An invoice: a bill
- ✗ B. A refund: no
- ✗ D. A fee: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q4 · question page 1128

ENT.CASH.02 · Waiting for allowance

What makes the waiting harder?

Answer: A. Longer payment terms

Longer waits widen the gap.

- ✗ B. Shorter payment terms: easier
- ✗ C. Deposits: easier
- ✗ D. Reminders: help

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q5 · question page 1129

ENT.CASH.02 · Waiting for allowance

What helps close the gap?

Answer: D. Deposits and prompt invoicing

Get paid sooner.

- ✗ A. Offering longer terms: worse
- ✗ B. Never sending reminders: worse
- ✗ C. Waiting longer to invoice: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q1 · question page 1130

ENT.CASH.02 · Apply it: plan cash around invoices

A designer finishes a 2,000-dollar project and invoices Net 30. Her rent of 900 dollars is due in 10 days. She has 500 dollars. What is the problem?

Answer: A. She is 400 dollars short for rent before the invoice is due

900 - 500 = 400 short.

- ✗ B. Rent is not her concern: it is due
- ✗ C. She has plenty of cash right now to cover the rent easily: only 500 dollars
- ✗ D. The invoice is already overdue: not yet due

Arithmetic checked by code: yes. Sources: none (stable)

S54-F1-Q2 · question page 1131

ENT.CASH.02 · Apply it: plan cash around invoices

Which change would help her most on future projects?

Answer: D. Ask for a 50 percent deposit at the start

Deposits bring cash earlier.

- ✗ A. Stop sending invoices: no payment
- ✗ B. Offer Net 90 payment terms to all clients: makes it worse
- ✗ C. Invoice only after 2 months: makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q3 · question page 1132

ENT.CASH.02 · Apply it: plan cash around invoices

A 50 percent deposit on a 2,000-dollar project is how much?

Answer: B. 1,000 dollars

0.50 x 2,000 = 1,000.

- ✗ A. 500 dollars: 25 percent
- ✗ C. 1,500 dollars: 75 percent
- ✗ D. 2,000 dollars: full price

Arithmetic checked by code: yes. Sources: none (stable)

S54-F1-Q4 · question page 1133

ENT.CASH.02 · Apply it: plan cash around invoices

An invoice was due 15 days ago and is unpaid. What is a sensible first step?

Answer: B. Send a polite reminder with the invoice attached

A reminder often solves it.

- ✗ A. Start a lawsuit today: too early
- ✗ C. Ignore it forever: loses money
- ✗ D. Post the client's name online as a late payer: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q5 · question page 1134

ENT.CASH.02 · Apply it: plan cash around invoices

A business has receivables of 6,000 dollars, of which 1,500 dollars is over 60 days late. What fraction is very late?

Answer: C. 1/4

1,500 / 6,000 = 0.25.

- ✗ A. 1/2: miscalculated
- ✗ B. 1/6: miscalculated
- ✗ D. 3/4: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S54-F2-Q1 · question page 1135

ENT.CASH.02 · Handle the complications: late payers and big clients

A large client insists on Net 60 terms. The order is 10,000 dollars of materials and labor. What should the owner check?

Answer: C. Whether she has cash to cover costs for 60 days

Long terms need cash to cover the wait.

✗ A. Whether the logo will be on the client's site: not the issue

✗ B. Nothing; big clients always pay early: not guaranteed

✗ D. Only whether the client is famous: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q2 · question page 1136

ENT.CASH.02 · Handle the complications: late payers and big clients

A client has missed three payment dates. What protects the business on future work?

Answer: B. Require payment or a deposit before starting

Upfront payment reduces risk.

✗ A. Do more work on credit: more risk

✗ C. Remove invoices: no record

✗ D. Offer even longer payment terms to be kind: more risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q3 · question page 1137

ENT.CASH.02 · Handle the complications: late payers and big clients

A contract allows a 1.5 percent monthly late fee where permitted. A 2,000-dollar invoice is one month late. What is the fee?

Answer: A. 30 dollars

0.015 x 2,000 = 30.

✗ B. 300 dollars: used 15 percent

✗ C. 1.50 dollars: not percent

✗ D. 3 dollars: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S54-F2-Q4 · question page 1138

ENT.CASH.02 · Handle the complications: late payers and big clients

Before adding late fees, what should an owner check?

Answer: D. Whether local law allows them and the contract states them

Fees must be legal and agreed.

- ✗ A. Only whether competitors in her area use late fees: not the rule
- ✗ B. Nothing; any fee is allowed: rules vary
- ✗ C. Only the invoice font: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q5 · question page 1139

ENT.CASH.02 · Handle the complications: late payers and big clients

Which statement is accurate?

Answer: A. Clear written terms and early reminders reduce late payments.

Systems help cash flow.

- ✗ B. Customers always pay on time without any reminders or written terms.: not always
- ✗ C. Deposits are illegal.: not true
- ✗ D. Invoices are optional for businesses.: records needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q1 · question page 1141

ENT.CASH.03 · Size and build a business cash reserve

What is a cash reserve?

Answer: A. Money set aside for slow months and surprises

It is a safety buffer.

- ✗ B. Money owed to suppliers: not a reserve
- ✗ C. Money used for the owner's vacation: not a reserve
- ✗ D. Money spent on advertising and promotions each month: not a reserve

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q2 · question page 1142

ENT.CASH.03 · Size and build a business cash reserve

Essential expenses are 1,500 dollars a month. What is a 3-month reserve?

Answer: C. 4,500 dollars

1,500 x 3 = 4,500.

- ✗ A. 1,500 dollars: one month
- ✗ B. 500 dollars: divided
- ✗ D. 3,000 dollars: two months

Arithmetic checked by code: yes. Sources: none (stable)

S55-M-Q3 · question page 1143

ENT.CASH.03 · Size and build a business cash reserve

How can a reserve be built gradually?

Answer: B. Move a percentage of each sale into savings

Small regular amounts add up.

- ✗ A. Wait until a big emergency happens, then start saving: too late
- ✗ C. Spend everything and hope: no reserve
- ✗ D. Borrow the full amount at once: adds debt

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q4 · question page 1144

ENT.CASH.03 · Size and build a business cash reserve

When should the reserve be used?

Answer: C. For slow months and surprises, then refilled

A reserve covers planned shortfalls and unexpected needs, and is refilled after.

✗ A. Never, not even in a real emergency: it exists to be used

✗ B. Only to pay the owner a yearly bonus: not its purpose

✗ D. For any purchase the owner happens to want: not its purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q5 · question page 1145

ENT.CASH.03 · Size and build a business cash reserve

What can happen without a reserve?

Answer: D. A surprise may force expensive borrowing

Reserves reduce risk.

✗ A. Nothing ever goes wrong for the business: not realistic

✗ B. Taxes disappear: no

✗ C. Profits always double: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-B1-Q1 · question page 1146

ENT.CASH.03 · Saving a percent until a goal

10 percent of 3,000 dollars is what?

Answer: A. 300 dollars

0.10 x 3,000 = 300.

✗ B. 30 dollars: moved too far

✗ C. 2,700 dollars: subtracted

✗ D. 3,300 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q2 · question page 1147

ENT.CASH.03 · Saving a percent until a goal

Saving 250 dollars a month, how long to reach 1,000 dollars?

Answer: D. 4 months

1,000 / 250 = 4.

- ✗ A. 3 months: too few
- ✗ B. 250 months: confused
- ✗ C. 40 months: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q3 · question page 1148

ENT.CASH.03 · Saving a percent until a goal

Saving 300 dollars a month, how long to reach 1,000 dollars, rounded up?

Answer: A. 4 months

1,000 / 300 = 3.33, up to 4.

- ✗ B. 5 months: too many
- ✗ C. 3 months: rounded down
- ✗ D. 3.3 months: not rounded

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q4 · question page 1149

ENT.CASH.03 · Saving a percent until a goal

5 percent of 4,000 dollars is what?

Answer: C. 200 dollars

0.05 x 4,000 = 200.

- ✗ A. 800 dollars: divided by 5
- ✗ B. 20 dollars: moved too far
- ✗ D. 4,005 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q5 · question page 1150

ENT.CASH.03 · Saving a percent until a goal

Why round up the number of months?

Answer: A. A partial month does not reach the goal

Round up to fully reach the goal.

- ✗ B. Months cannot be counted: they can
- ✗ C. Rounding down is always better for savings goals: falls short
- ✗ D. It does not matter: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q1 · question page 1151

ENT.CASH.03 · Apply it: plan a reserve

A shop's essential costs are 2,000 dollars a month. It wants a 2-month reserve and saves 8 percent of 5,000 dollars of monthly sales. How many months to reach the goal?

Answer: D. 10 months

Goal 4,000; saving 400 a month; 10 months.

- ✗ A. 8 months: miscalculated
- ✗ B. 25 months: used 4 percent
- ✗ C. 5 months: used one month of costs

Arithmetic checked by code: yes. Sources: none (stable)

S55-F1-Q2 · question page 1152

ENT.CASH.03 · Apply it: plan a reserve

Which account fits a reserve best?

Answer: B. A separate business savings account

Separate and safe.

- ✗ A. A friend's account: not controlled
- ✗ C. The owner's personal checking account: mixed
- ✗ D. A shoebox under the counter: unsafe

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q3 · question page 1153

ENT.CASH.03 · Apply it: plan a reserve

The reserve target is 3,000 dollars. An oven repair uses 1,200 dollars of it. How much must be added to bring the reserve back to its target?

Answer: C. 1,200 dollars

1,800 remains; refill the 1,200 used.

- ✗ A. 3,000 dollars: full amount
- ✗ B. 4,200 dollars: added
- ✗ D. 1,800 dollars: what remains, not refill

Arithmetic checked by code: yes. Sources: none (stable)

S55-F1-Q4 · question page 1154

ENT.CASH.03 · Apply it: plan a reserve

A seasonal ice cream stand earns most money in summer. What does that suggest for its reserve?

Answer: A. Save more in summer to cover winter

Seasonal businesses need bigger buffers.

- ✗ B. Borrow every winter as a plan: costly
- ✗ C. Spend all summer income right away: risky
- ✗ D. Ignore winter costs: they continue

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q5 · question page 1155

ENT.CASH.03 · Apply it: plan a reserve

An owner uses the reserve to buy a new logo design. What is the problem?

Answer: D. It is not an emergency

Reserves are for emergencies.

- ✗ A. Reserves must never be used: they can be used for emergencies
- ✗ B. Logos are illegal: no
- ✗ C. There is no problem: misuse

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q1 · question page 1156

ENT.CASH.03 · Handle the complications: competing needs

An owner can either pay down a high-interest credit card or build a reserve. What is a balanced approach?

Answer: D. Build a small starter reserve, then focus on the debt

Balance protection and cost.

- ✗ A. Take on more debt: worse
- ✗ B. Ignore both: risky
- ✗ C. Spend on extras first and decide about debt later: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q2 · question page 1157

ENT.CASH.03 · Handle the complications: competing needs

Sales drop 30 percent for 2 months. Essential costs stay 2,000 dollars and income falls to 1,400 dollars. How much reserve is used over both months?

Answer: B. 1,200 dollars

(2,000 - 1,400) x 2 = 1,200.

✗ A. 600 dollars: one month

✗ C. 2,800 dollars: income

✗ D. 4,000 dollars: all costs

Arithmetic checked by code: yes. Sources: none (stable)

S55-F2-Q3 · question page 1158

ENT.CASH.03 · Handle the complications: competing needs

A business has a 6-month reserve but keeps adding to it while equipment is failing. What should it consider?

Answer: C. Whether part of the reserve should fund needed equipment

Reserves should match real needs.

✗ A. Never touching the reserve, even for needed equipment: may harm operations

✗ B. Closing the business: too extreme

✗ D. Selling the equipment: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q4 · question page 1159

ENT.CASH.03 · Handle the complications: competing needs

A reserve sits in an account the owner also uses for daily spending. What is the risk?

Answer: A. It gets spent without noticing

Keep it separate.

✗ B. It becomes taxable twice each year: no

✗ C. Nothing at all: mixing risk

✗ D. It grows faster: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q5 · question page 1160

ENT.CASH.03 · Handle the complications: competing needs

Which statement is accurate?

Answer: D. The right reserve size depends on the business; months of expenses is a planning guide.

Tailor to risk.

- ✗ A. A reserve replaces insurance.: both help
- ✗ B. Every business needs exactly 3 months of expenses saved, no matter its risks or seasons.: not a rule
- ✗ C. Reserves are only for big companies.: all benefit

Arithmetic checked by code: not applicable. Sources: none (stable)

S56-M-Q1 · question page 1162

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

According to the passage, how much working capital did they start with?

Answer: A. 538 dollars

The passage gives 538 dollars.

- ✗ B. No money at all: they had 538 dollars
- ✗ C. 5,380 dollars: not the documented figure
- ✗ D. 53,800 dollars: not the documented figure

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q2 · question page 1163

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

What was their first product?

Answer: B. An audio oscillator for testing sound equipment

The HP 200A was an audio oscillator.

✗ A. A printer for offices: not their first product

✗ C. A home computer for families and schools: not their first product

✗ D. A film camera for studios: not their first product

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q3 · question page 1164

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

What did Walt Disney Studios do?

Answer: D. Asked for changes and ordered eight of the modified model

Disney ordered eight 200B units.

✗ A. Designed the product for HP: HP made the changes

✗ B. Refused to buy any product: they ordered

✗ C. Bought the whole company outright in its first year: not stated

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q4 · question page 1165

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

Which lesson does this course draw?

Answer: C. Solve a specific need and adapt to a serious customer

Adapting for a key customer is the lesson drawn.

✗ A. Only sell to the general public: they sold to professionals

✗ B. Never change a product, even for a serious customer: they did adapt

✗ D. Always start with a large investment: they started with little

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q5 · question page 1166

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

Which statement about the HP case is accurate?

Answer: D. It shows one start, not a promise for every garage business.

One story teaches; it does not promise.

- ✗ A. It shows a big customer is never risky.: not stated
- ✗ B. It proves every business started in a garage will succeed.: one case proves nothing
- ✗ C. It shows capital never matters.: not the lesson

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q1 · question page 1167

ENT.CASE.05 · Facts versus the lesson

"They started with 538 dollars" is which part?

Answer: C. Documented history

It is a recorded fact.

- ✗ A. A rumor with no source: it is sourced
- ✗ B. The lesson drawn: interpretation
- ✗ D. A guarantee: not a promise

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q2 · question page 1168

ENT.CASE.05 · Facts versus the lesson

"Adapt to a serious customer's request" is which part?

Answer: D. The lesson drawn by the course

It is an interpretation.

- ✗ A. A legal rule for all businesses: no

✗ B. Documented history from HP: interpretation

✗ C. A tax fact: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q3 · question page 1169

ENT.CASE.05 · Facts versus the lesson

Does later fame prove each early step caused success?

Answer: D. No

Correlation is not proof.

✗ A. Only for HP: not proof

✗ B. Only in California: not proof

✗ C. Yes, always: not proof

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q4 · question page 1170

ENT.CASE.05 · Facts versus the lesson

Why keep facts and lessons separate?

Answer: A. So you know what is recorded and what is opinion

Clarity about evidence.

✗ B. Because facts never matter: they do

✗ C. Because lessons drawn from cases are always wrong: not always

✗ D. To confuse readers: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q5 · question page 1171

ENT.CASE.05 · Facts versus the lesson

"Disney ordered eight units" is which part?

Answer: B. Documented history

It is recorded.

- ✗ A. The lesson drawn: it is a record
- ✗ C. A guess with no record: documented
- ✗ D. A promise: not a promise

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q1 · question page 1172

ENT.CASE.05 · Apply it: adapt for a serious customer

Lena makes a sound-testing app for audio studios. A large studio asks for two specific features and offers to buy 10 licenses. Applying the lesson, what fits?

Answer: D. Check the cost of the changes and consider adapting for the order

Adapt when a serious customer commits, after checking cost.

- ✗ A. Promise any feature without checking cost: risky
- ✗ B. Refuse the order, because a product must never change after launch: opposite of lesson
- ✗ C. Ignore the studio and target everyone: misses a real buyer

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q2 · question page 1173

ENT.CASE.05 · Apply it: adapt for a serious customer

Raj has 600 dollars to start. Which first step best follows the lesson?

Answer: C. Build a simple tool for one specific professional need

Start small and specific.

- ✗ A. Rent a large factory first: needs much capital
- ✗ B. Wait until he has saved 100,000 dollars before starting: the case started small

✗ D. Design ten products for everyone: unfocused

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q3 · question page 1174

ENT.CASE.05 · Apply it: adapt for a serious customer

A customer asks for changes that would cost 2,000 dollars, and offers an order worth 1,500 dollars of contribution. What does the math suggest?

Answer: A. The order alone does not cover the change

1,500 < 2,000.

✗ B. It is clearly profitable: costs more
✗ C. Costs do not matter: they do
✗ D. Accept the order and ignore the cost of changes: loses money

Arithmetic checked by code: yes. Sources: case_hp

S56-F1-Q4 · question page 1175

ENT.CASE.05 · Apply it: adapt for a serious customer

A customer's requested changes would cost 2,000 dollars, and that customer's order brings 1,500 dollars of contribution. What could make the change worthwhile?

Answer: C. Other customers also wanting the improved version

Wider demand can spread the cost.

✗ A. Never telling anyone: irrelevant
✗ B. A nicer logo: irrelevant
✗ D. Lowering the price of the studio's order further: worse

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q5 · question page 1176

ENT.CASE.05 · Apply it: adapt for a serious customer

Which detail is documented in the HP case and which is the course's lesson?

Answer: D. Eight units ordered is documented; "adapt for a key customer" is the lesson

Separate record from interpretation.

- ✗ A. The lesson is documented by HP; the eight-unit order is only a guess: reversed
- ✗ B. Both are guesses with no source: one is documented
- ✗ C. Both are documented quotes from the founders: the lesson is an interpretation

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q1 · question page 1177

ENT.CASE.05 · Handle the complications: depending on one big customer

A small maker gets 80 percent of its sales from one customer. What is the main risk?

Answer: B. Losing that customer would cut most sales

Concentration creates risk.

- ✗ A. Taxes will double: unrelated
- ✗ C. No risk at all, since one customer is simpler to serve: concentration risk
- ✗ D. Costs disappear: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q2 · question page 1178

ENT.CASE.05 · Handle the complications: depending on one big customer

A big customer asks for a custom version at a discount. What should the owner check?

Answer: A. Whether the price still covers costs and time

Check the math.

- ✗ B. Nothing; big orders are always good: not always
- ✗ C. Only whether the customer is famous in the industry: not enough

✗ D. Only the logo placement: irrelevant

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q3 · question page 1179

ENT.CASE.05 · Handle the complications: depending on one big customer

After adapting for one studio, the owner hopes others will buy. What should she do next?

Answer: C. Test whether other customers want the new version

Test before assuming.

✗ A. Assume all studios will buy: untested
✗ B. Raise prices tenfold: untested
✗ D. Stop selling the old version immediately to every customer: premature

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q4 · question page 1180

ENT.CASE.05 · Handle the complications: depending on one big customer

Someone says, "HP started in a garage, so I need a garage to succeed." What is wrong?

Answer: C. The location is a detail, not the cause

Do not copy surface details.

✗ A. HP never used a garage: it did
✗ B. Nothing; garages guarantee success: not true
✗ D. Garages are illegal for businesses: not true

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q5 · question page 1181

ENT.CASE.05 · Handle the complications: depending on one big customer

Which statement is accurate?

Answer: A. The case shows one path; other businesses face different

conditions.

Learn the principle, not a promise.

- ✗ B. Every business should copy HP exactly.: not true
- ✗ C. Big customers never cause problems.: not true
- ✗ D. Starting with small capital guarantees that a business will succeed.: not true

Arithmetic checked by code: not applicable. Sources: case_hp

S57-M-Q1 · question page 1183

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

What is bookkeeping?

Answer: D. Recording every money event in the business

Bookkeeping records money events.

- ✗ A. Choosing which products to put on sale each week: that is merchandising
- ✗ B. Designing the shelves where the business keeps its books: a pun, not the meaning
- ✗ C. Writing a business plan for investors once a year: that is planning

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q2 · question page 1184

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

Which detail belongs on every record?

Answer: A. The date, amount, other party and purpose

Each record needs these details.

- ✗ B. The weather and the owner's mood on that day: not needed
- ✗ C. Only the amount, rounded to the nearest hundred: incomplete

✗ D. Only the customer's favorite product: not needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q3 · question page 1185

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

What does a receipt do?

Answer: B. Proves a transaction happened

Receipts are proof.

✗ A. Shows how many followers the business has online: unrelated
✗ C. Replaces the need to record the transaction at all: still record it
✗ D. Guarantees the expense will be tax deductible: not guaranteed

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q4 · question page 1186

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

Which is a reason to keep good records?

Answer: C. To see whether the business makes money

Records show results.

✗ A. To make the office look more organized to visitors: not the main reason
✗ B. Because records automatically lower all prices: not true
✗ D. Because records replace the need for a bank account: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q5 · question page 1187

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

When is the best time to record a transaction?

Answer: A. Soon after it happens

Prompt records are accurate.

- ✗ B. Never, if the amount is under 100 dollars: small amounts add up
- ✗ C. Once a year, from memory, just before taxes are due: unreliable
- ✗ D. Only when a tax agency asks a question about it: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q1 · question page 1188

ENT.BOOK.01 · A diary for money

Bookkeeping is like a diary about what?

Answer: B. Money

A money diary.

- ✗ A. Weather: not money
- ✗ C. Favorite songs: not money
- ✗ D. Sports scores: not money

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q2 · question page 1189

ENT.BOOK.01 · A diary for money

A receipt is like what in the diary picture?

Answer: D. A photo that proves the entry

Receipts prove entries.

- ✗ A. A torn page: not proof
- ✗ B. A blank page in the diary: no proof
- ✗ C. A pen: a tool, not proof

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q3 · question page 1190

ENT.BOOK.01 · A diary for money

Which is a complete entry?

Answer: B. "May 3, paid 42 dollars to Paper Plus for boxes"

When, how much, with whom, why.

- ✗ A. "Boxes": missing details
- ✗ C. "Spent some money at a store this week on things": missing details
- ✗ D. "42": missing details

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q4 · question page 1191

ENT.BOOK.01 · A diary for money

What happens if the diary is skipped for months?

Answer: C. You forget what payments were for

Records must be timely.

- ✗ A. Nothing changes at all: memory fades
- ✗ B. Taxes disappear: no
- ✗ D. Your money doubles by itself: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q5 · question page 1192

ENT.BOOK.01 · A diary for money

Why can someone else check a diary with photos?

Answer: C. The photos are proof

Proof allows checking.

- ✗ A. Photos hide mistakes: opposite
- ✗ B. Photos are pretty: not the reason

✗ D. Photos replace numbers: they support numbers

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q1 · question page 1193

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Sam writes "supplies 85" on a sticky note with no date or store. What should he add?

Answer: A. The date, store and what was bought

Complete records need details.

✗ B. Nothing, because the amount is enough by itself: incomplete
✗ C. A smiley face to show it was a good purchase: not useful
✗ D. The total of all his personal spending this month: not this record

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q2 · question page 1194

ENT.BOOK.01 · Apply it: improve a record-keeping habit

A seller keeps receipts in a shoebox but records nothing for a year. What is the main problem?

Answer: C. Rebuilding the records will be slow and error-prone

Prompt recording is better.

✗ A. Receipts expire after one month and become invalid: not true
✗ B. Shoeboxes are illegal for storing receipts: not illegal
✗ D. There is no problem as long as the receipts exist: records are still missing

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q3 · question page 1195

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Monthly records show sales of 3,400 dollars and expenses of 3,650 dollars. What do they reveal?

Answer: B. A loss of 250 dollars

3,400 - 3,650 = -250.

- ✗ A. A profit of 7,050 dollars for the month: added
- ✗ C. Nothing useful about the business at all: they reveal a loss
- ✗ D. A profit of 250 dollars for the month: wrong sign

Arithmetic checked by code: yes. Sources: none (stable)

S57-F1-Q4 · question page 1196

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Which habit makes receipts easier to keep?

Answer: A. Photographing each receipt the day you get it

Same-day photos protect records.

- ✗ B. Throwing receipts away once the item is used up: loses proof
- ✗ C. Asking stores never to give receipts at all: loses proof
- ✗ D. Keeping receipts only for purchases over 1,000 dollars: loses many

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q5 · question page 1197

ENT.BOOK.01 · Apply it: improve a record-keeping habit

A lender asks for a year of income records. Which owner is ready?

Answer: D. One with monthly records and receipts

Complete records support applications.

- ✗ A. One with only a bank card and no statements: incomplete
- ✗ B. One who remembers roughly what she earned last year: not proof
- ✗ C. One who kept records only for the first month: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q1 · question page 1198

ENT.BOOK.01 · Handle the complications: missing proof and messy records

A receipt for a 60-dollar business purchase is lost. What is a sensible step?

Answer: A. Use the bank or card statement and note what it was for

Statements can support the record.

- ✗ B. Delete the purchase from the records entirely: records become wrong
- ✗ C. Make up a new receipt that looks like the old one: false record
- ✗ D. Record it as twice the amount to be safe: false record

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q2 · question page 1199

ENT.BOOK.01 · Handle the complications: missing proof and messy records

An owner finds cash sales missing from records because they were never written down. What fix helps most?

Answer: D. Record every cash sale at the time with a simple log

Cash needs its own same-day record.

- ✗ A. Only record card sales from now on: still missing cash
- ✗ B. Guess the total of cash sales at the end of each year: unreliable
- ✗ C. Stop accepting cash from any customers: not necessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q3 · question page 1200

ENT.BOOK.01 · Handle the complications: missing proof and messy records

Records show 12 payments to an unknown vendor. What might that reveal?

Answer: C. An error or possible fraud to investigate

Records help catch problems.

✗ A. Nothing; unknown vendors are always fine to ignore: risky
✗ B. That the bank account should be closed today: too early
✗ D. A guaranteed tax refund for the business: not related

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q4 · question page 1201

ENT.BOOK.01 · Handle the complications: missing proof and messy records

A tax agency asks about a deduction from two years ago. What helps the owner answer?

Answer: B. Kept receipts and records for that year

Kept records support answers.

✗ A. A memory of roughly how much she spent: not proof
✗ C. A new receipt printed today for that year: not genuine
✗ D. A screenshot of a competitor's website: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q5 · question page 1202

ENT.BOOK.01 · Handle the complications: missing proof and messy records

Which statement is accurate?

Answer: D. Good records are proof; memory alone is not.

Records make claims checkable.

✗ A. Receipts are only useful on the day of purchase.: they matter later
✗ B. Records are only needed by large companies with staff.: all need them
✗ C. Bookkeeping means only counting cash once a year.: too narrow

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q1 · question page 1204

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

What is a ledger?

Answer: B. A list of every transaction with columns

A ledger records transactions.

- ✗ A. A bank's yearly report on interest rates: not a ledger
- ✗ C. A promotional flyer that lists product prices: not a ledger
- ✗ D. A legal agreement among the owners of an LLC: that is an operating agreement

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q2 · question page 1205

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Which category fits "paid 35 dollars for postage on orders"?

Answer: C. Shipping

Postage on orders is shipping.

- ✗ A. Rent for the workspace: not rent
- ✗ B. Owner draws taken for personal use: not shipping
- ✗ D. Sales from customers: money out, not in

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q3 · question page 1206

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Start 500, a sale of 200, supplies of 80. What is the balance?

Answer: A. 620

500 + 200 - 80 = 620.

- ✗ B. 780: added both
- ✗ C. 380: subtracted both
- ✗ D. 220: subtracted from the sale

Arithmetic checked by code: yes. Sources: none (stable)

S58-M-Q4 · question page 1207

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Why use consistent categories?

Answer: D. To total each type and spot trends

Consistency enables totals.

- ✗ A. To make the ledger look longer and more impressive: not the purpose
- ✗ B. Because each transaction needs a brand-new category: opposite
- ✗ C. To avoid writing the amount of each transaction: amounts still needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q5 · question page 1208

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Which tool can hold a simple ledger?

Answer: A. A spreadsheet

Spreadsheets or software work.

- ✗ B. A product photo: not a record tool
- ✗ C. A paper coffee cup: not a record tool
- ✗ D. A billboard: not a record tool

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-B1-Q1 · question page 1209

ENT.BOOK.02 · Keeping a running balance

Start 200, then +50. What is the balance?

Answer: B. 250

200 + 50 = 250.

✗ A. 150: subtracted

✗ C. 200: not changed

✗ D. 50: only the change

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q2 · question page 1210

ENT.BOOK.02 · Keeping a running balance

Start 250, then -70. What is the balance?

Answer: C. 180

250 - 70 = 180.

✗ A. 170: arithmetic slip

✗ B. 70: only the change

✗ D. 320: added

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q3 · question page 1211

ENT.BOOK.02 · Keeping a running balance

Start 100; +40; -25; +10. What is the balance?

Answer: B. 125

100 + 40 - 25 + 10 = 125.

✗ A. 175: added all

✗ C. 115: missed +10

✗ D. 75: subtracted all

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q4 · question page 1212

ENT.BOOK.02 · Keeping a running balance

Opening 400, total in 300, total out 250. What is the closing balance?

Answer: D. 450

400 + 300 - 250 = 450.

- ✗ A. 950: added all
- ✗ B. 350: subtracted in
- ✗ C. 50: only in minus out

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q5 · question page 1213

ENT.BOOK.02 · Keeping a running balance

Money spent on supplies is added or subtracted?

Answer: C. Subtracted

Money out is subtracted.

- ✗ A. Added: it goes out
- ✗ B. Ignored completely: it counts
- ✗ D. Doubled: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F1-Q1 · question page 1214

ENT.BOOK.02 · Apply it: record and total a week

A week: sales 120, 90, 150; supplies 45; shipping 30. What is the total of sales?

Answer: A. 360

120 + 90 + 150 = 360.

- ✗ B. 435: added costs
- ✗ C. 270: missed a sale
- ✗ D. 285: subtracted costs

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q2 · question page 1215

ENT.BOOK.02 · Apply it: record and total a week

A week: sales 120, 90 and 150; supplies 45; shipping 30. What is sales minus supplies and shipping?

Answer: C. 285

360 - 75 = 285.

- ✗ A. 435: added
- ✗ B. 75: costs only
- ✗ D. 360: sales only

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q3 · question page 1216

ENT.BOOK.02 · Apply it: record and total a week

Which entry is categorized well?

Answer: D. "Jun 4 | Ad on local site | Advertising | out 25"

Complete and correct.

- ✗ A. "Stuff | 25" with no date or category given: incomplete
- ✗ B. "Something online, maybe 25, maybe 30": vague
- ✗ C. "Jun 4 | Ad | Sales | in 25" for money paid out: wrong category and direction

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F1-Q4 · question page 1217

ENT.BOOK.02 · Apply it: record and total a week

Shipping was 80 dollars in March and 140 dollars in April with the same sales. What does the category total reveal?

Answer: A. Shipping costs rose and should be checked

Category totals show trends.

- ✗ B. Sales doubled in April: sales were the same
- ✗ C. Nothing; categories never reveal trends: they do
- ✗ D. Rent was paid twice: not shown

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q5 · question page 1218

ENT.BOOK.02 · Apply it: record and total a week

A payment to the owner's personal account is categorized as "supplies." What is wrong?

Answer: B. It should be categorized as an owner draw

Use the right category.

- ✗ A. It should be deleted from the ledger: it happened
- ✗ C. It should be categorized as sales revenue: money out, not revenue
- ✗ D. Nothing, because all money out is supplies: wrong category

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F2-Q1 · question page 1219

ENT.BOOK.02 · Handle the complications: mixed and split transactions

One store receipt has 60 dollars of business supplies and 20 dollars of personal snacks paid on the business card. How should it be recorded?

Answer: D. Supplies 60 and an owner draw of 20

Split the transaction.

- ✗ A. Supplies 80, since it was one receipt: mixes personal
- ✗ B. Sales 80, since the card was used: not sales
- ✗ C. Ignore it, since it was a mixed purchase: records become wrong

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q2 · question page 1220

ENT.BOOK.02 · Handle the complications: mixed and split transactions

An owner changes category names every month. What problem results?

Answer: A. Totals cannot be compared from month to month

Consistency matters.

- ✗ B. The ledger becomes more accurate each month: less comparable
- ✗ C. Nothing; names never matter: they matter
- ✗ D. Taxes are automatically reduced: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F2-Q3 · question page 1221

ENT.BOOK.02 · Handle the complications: mixed and split transactions

The ledger balance is 1,240 but the bank shows 1,190, and a 50-dollar fee is missing from the ledger. What should happen?

Answer: C. Add the 50-dollar fee to the ledger

1,240 - 50 = 1,190.

- ✗ A. Change the bank balance to match the ledger: cannot
- ✗ B. Delete a sale worth 50 dollars: false
- ✗ D. Ignore the 50-dollar difference forever: records wrong

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q4 · question page 1222

ENT.BOOK.02 · Handle the complications: mixed and split transactions

A refund to a customer of 30 dollars is recorded as a new sale of 30 dollars. What is the effect?

Answer: B. Sales are overstated by 60 dollars

It should be -30; recording +30 is off by 60.

✗ A. Sales are overstated by 30 dollars only: counted both ways

✗ C. Sales are understated by 30 dollars: wrong direction

✗ D. There is no effect on sales: there is

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q5 · question page 1223

ENT.BOOK.02 · Handle the complications: mixed and split transactions

Which statement is accurate?

Answer: C. Clear, consistent categories make records useful.

Categories turn data into information.

✗ A. Any random category is fine as long as amounts are right.: categories matter

✗ B. Ledgers are needed only for businesses with employees.: all benefit

✗ D. A ledger replaces the need for receipts.: both needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q1 · question page 1225

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Money customers owe you is called what?

Answer: A. Accounts receivable

Receivables are owed to you.

✗ B. Retained cash in savings: not owed

✗ C. Owner contributions to the business: not owed by customers

✗ D. Accounts payable owed to suppliers: money you owe

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q2 · question page 1226

ENT.BOOK.03 · Track invoices and bills as receivables and payables

A supplier's bill you have not paid yet is what?

Answer: D. Accounts payable

Payables are what you owe.

- ✗ A. Accounts receivable from customers: owed to you
- ✗ B. An owner draw for personal use: not a bill
- ✗ C. Revenue earned from sales: not a bill

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q3 · question page 1227

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Which item should appear on an invoice?

Answer: B. An invoice number and due date

Numbers and dates help tracking.

- ✗ A. A list of the owner's other customers: private
- ✗ C. The supplier's cost for the materials: not needed
- ✗ D. The owner's personal bank password: never share

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q4 · question page 1228

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Receivables total 2,400 dollars and payables total 1,100 dollars. What is the difference?

Answer: A. 1,300 dollars

2,400 - 1,100 = 1,300.

- ✗ B. 1,100 dollars: payables only
- ✗ C. 3,500 dollars: added
- ✗ D. 2,400 dollars: receivables only

Arithmetic checked by code: yes. Sources: none (stable)

S59-M-Q5 · question page 1229

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Why pay supplier bills on time?

Answer: D. It protects your reputation with suppliers

Reliability builds trust.

- ✗ A. It removes the need for any records: still record
- ✗ B. It guarantees customers will pay you sooner: not linked
- ✗ C. It doubles your sales the next month: not linked

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q1 · question page 1230

ENT.BOOK.03 · IOUs going two ways

A customer who has not paid your invoice holds an IOU to whom?

Answer: C. To you

It is a receivable.

- ✗ A. To the supplier: no
- ✗ B. To the bank: no
- ✗ D. To nobody: they owe you

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q2 · question page 1231

ENT.BOOK.03 · IOUs going two ways

A supplier bill means you owe whom?

Answer: B. The supplier

It is a payable.

✗ A. Yourself: no

✗ C. The state: not this bill

✗ D. The customer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q3 · question page 1232

ENT.BOOK.03 · IOUs going two ways

"Owed to me" is which list?

Answer: C. Receivables

Receivables are owed to you.

✗ A. Draws: no

✗ B. Expenses for the month: not a list of owed money

✗ D. Payables: I owe

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q4 · question page 1233

ENT.BOOK.03 · IOUs going two ways

"I owe" is which list?

Answer: D. Payables

Payables are what you owe.

✗ A. Sales: no

✗ B. Assets: no

✗ C. Receivables: owed to me

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q5 · question page 1234

ENT.BOOK.03 · IOUs going two ways

Why keep two lists?

Answer: D. So neither kind of IOU is forgotten

Tracking both prevents misses.

- ✗ A. To avoid paying: no
- ✗ B. Because keeping only one list is illegal: no
- ✗ C. To confuse the owner: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F1-Q1 · question page 1235

ENT.BOOK.03 · Apply it: manage the two lists

Invoice 104 for 600 dollars was paid; invoice 105 for 450 dollars is unpaid; invoice 106 for 300 dollars is unpaid. What are receivables?

Answer: B. 750 dollars

450 + 300 = 750.

- ✗ A. 300 dollars: only one
- ✗ C. 600 dollars: the paid one
- ✗ D. 1,350 dollars: included the paid one

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q2 · question page 1236

ENT.BOOK.03 · Apply it: manage the two lists

A supplier bill of 400 dollars is due in 5 days. Cash is 300 dollars and a 500-dollar receivable is due in 10 days. What is the best action?

Answer: C. Ask the supplier about timing before the due date

Early communication helps.

- ✗ A. Cancel the customer invoice: loses money
- ✗ B. Ignore the bill and say nothing: harms trust

✗ D. Pay 300 dollars and claim it was full payment: dishonest

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q3 · question page 1237

ENT.BOOK.03 · Apply it: manage the two lists

Which invoice is missing something important?

Answer: A. One with no due date or payment method

Due date and method are key.

✗ B. One showing the customer and business names and an amount and due date: mostly complete

✗ C. One with a number, date, items, amount, due date and method: complete

✗ D. One listing the work, total and how to pay by a due date: mostly complete

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F1-Q4 · question page 1238

ENT.BOOK.03 · Apply it: manage the two lists

A business owes three bills: 120, 85 and 240 dollars. What are payables?

Answer: D. 445 dollars

120 + 85 + 240 = 445.

✗ A. 325 dollars: missed one

✗ B. 205 dollars: missed one

✗ C. 360 dollars: missed one

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q5 · question page 1239

ENT.BOOK.03 · Apply it: manage the two lists

Why number invoices in order?

Answer: B. To track each one and spot missing invoices

Numbering supports tracking.

- ✗ A. Because customers prefer large numbers on bills: not the reason
- ✗ C. To change the amount owed later: not allowed
- ✗ D. To make each invoice look official only: not the main reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q1 · question page 1240

ENT.BOOK.03 · Handle the complications: disputes and duplicates

A customer says an invoice was never received. What should the owner do?

Answer: B. Resend it and confirm the correct address

Resending is the simple fix.

- ✗ A. Send the same invoice to all customers: wrong
- ✗ C. Double the amount as a penalty right away: unfair
- ✗ D. Write it off without asking anything: loses money

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q2 · question page 1241

ENT.BOOK.03 · Handle the complications: disputes and duplicates

An owner paid the same supplier bill twice. What should she do?

Answer: A. Ask the supplier for a refund or credit

Recover the duplicate payment.

- ✗ B. Record it as a sale: not a sale
- ✗ C. Stop buying from that supplier forever: overreaction
- ✗ D. Ignore it because the supplier will notice: may not

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q3 · question page 1242

ENT.BOOK.03 · Handle the complications: disputes and duplicates

A customer disputes part of an invoice: 200 of 1,000 dollars. What is undisputed?

Answer: C. 800 dollars

1,000 - 200 = 800.

- ✗ A. 1,200 dollars: added
- ✗ B. 200 dollars: disputed part
- ✗ D. 1,000 dollars: all

Arithmetic checked by code: yes. Sources: none (stable)

S59-F2-Q4 · question page 1243

ENT.BOOK.03 · Handle the complications: disputes and duplicates

Receivables are large but cash is low. What does this suggest?

Answer: D. Collecting from customers is the priority

Collection brings in cash.

- ✗ A. Payables should be ignored: still owed
- ✗ B. The business has no customers at all: not true
- ✗ C. Prices should be cut immediately: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q5 · question page 1244

ENT.BOOK.03 · Handle the complications: disputes and duplicates

Which statement is accurate?

Answer: A. Receivables are money not yet in hand.

Owed money is not cash.

✗ B. Receivables can be spent today like cash.: not cash yet

✗ C. Payables are money customers owe.: reversed

✗ D. Invoices are optional for all businesses.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q1 · question page 1246

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

An owner puts 1,000 dollars into the business. Is it sales revenue?

Answer: D. No, it is an owner contribution

Contributions are equity, not revenue.

✗ A. Yes, but only if it is spent the same day: still not sales

✗ B. No, it is a business expense instead: not an expense

✗ C. Yes, it counts as sales for that month: not from customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q2 · question page 1247

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

What does an owner draw do to owner's equity?

Answer: B. Decreases it

Draws reduce equity.

✗ A. Leaves it exactly unchanged: it decreases

✗ C. Turns it into revenue: not revenue

✗ D. Increases it each time: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q3 · question page 1248

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

If a 1,000-dollar contribution is recorded as a sale, what happens to profit?

Answer: C. It looks 1,000 dollars too high

Mislabeling inflates profit.

- ✗ A. It looks 2,000 dollars too high: counted once
- ✗ B. It looks 1,000 dollars too low: wrong direction
- ✗ D. It looks exactly right: distorted

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q4 · question page 1249

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

How is a loan from the owner recorded?

Answer: A. As money the business owes back

Loans are liabilities.

- ✗ B. As sales revenue for the month: not revenue
- ✗ C. As a supply expense: not an expense
- ✗ D. As an owner draw for personal use: opposite direction

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q5 · question page 1250

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

A draw recorded as an expense does what to profit?

Answer: B. Makes it look too low

Expenses reduce profit.

- ✗ A. Makes it look too high: opposite
- ✗ C. Doubles it: no
- ✗ D. Has no effect on profit at all: it lowers profit

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q1 · question page 1251

ENT.BOOK.04 · Money moving in the family versus money from customers

Grandma's loan to the bakery is what?

Answer: A. Family money moving in, not a sale

It is not revenue.

- ✗ B. A flour expense for the cakes: not a cost
- ✗ C. A tax: no
- ✗ D. A cake sale: not from customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q2 · question page 1252

ENT.BOOK.04 · Money moving in the family versus money from customers

The baker taking money home is what?

Answer: B. Family money moving out, not an expense

It is a draw.

- ✗ A. A cake sale: no
- ✗ C. The cost of flour for the week's cakes: not a cost
- ✗ D. A loan: not this

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q3 · question page 1253

ENT.BOOK.04 · Money moving in the family versus money from customers

What counts as revenue?

Answer: B. Cake sales

Only customer sales.

✗ A. Grandma's loan: no

✗ C. A gift: no

✗ D. Money taken home: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q4 · question page 1254

ENT.BOOK.04 · Money moving in the family versus money from customers

What counts as an expense?

Answer: A. Flour for the cakes

Business costs only.

✗ B. Cake sales: revenue

✗ C. Grandma's loan: liability

✗ D. Money taken home: draw

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q5 · question page 1255

ENT.BOOK.04 · Money moving in the family versus money from customers

Mixing family moves with sales gives what?

Answer: D. A false picture

Mislabeling distorts results.

✗ A. A true picture: no

✗ B. More money: no

✗ C. Lower taxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F1-Q1 · question page 1256

ENT.BOOK.04 · Apply it: correct the labels

Records show sales of 5,000 dollars, including a 1,500-dollar owner contribution. Expenses are 3,000 dollars. What is the true profit?

Answer: C. 500 dollars

(5,000 - 1,500) - 3,000 = 500.

- ✗ A. 3,500 dollars: sales only
- ✗ B. 1,500 dollars: contribution only
- ✗ D. 2,000 dollars: included contribution

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q2 · question page 1257

ENT.BOOK.04 · Apply it: correct the labels

Expenses of 4,200 dollars include 1,200 dollars of owner draws. Sales are 6,000 dollars. What is the true profit for a sole proprietor?

Answer: A. 3,000 dollars

6,000 - (4,200 - 1,200) = 3,000.

- ✗ B. 4,200 dollars: expenses only
- ✗ C. 1,800 dollars: kept draws as expense
- ✗ D. 6,000 dollars: sales only

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q3 · question page 1258

ENT.BOOK.04 · Apply it: correct the labels

An owner lends 2,000 dollars and the business repays 500 dollars. What does the business still owe her?

Answer: C. 1,500 dollars

2,000 - 500 = 1,500.

- ✗ A. 2,500 dollars: added

✗ B. 500 dollars: repaid amount

✗ D. 2,000 dollars: ignored repayment

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q4 · question page 1259

ENT.BOOK.04 · Apply it: correct the labels

Which label fits "moved 300 dollars from my savings to buy a printer for the shop"?

Answer: B. Owner contribution

Money in from the owner.

✗ A. Refund to a customer: not a refund

✗ C. Owner draw for personal use: money in, not out

✗ D. Sales revenue from customers: not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F1-Q5 · question page 1260

ENT.BOOK.04 · Apply it: correct the labels

Why does correct labeling matter for a loan application?

Answer: D. Lenders look at true profit

Accurate profit supports applications.

✗ A. Labels change the bank's interest rate directly: not directly

✗ B. Lenders ignore records: they review them

✗ C. Labels are only for taxes: also lending

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q1 · question page 1261

ENT.BOOK.04 · Handle the complications: unclear transfers

An owner moved 800 dollars into the business without saying whether it was a loan or a contribution. What should she do?

Answer: D. Decide and document which it is

Documentation removes doubt.

- ✗ A. Record it as sales to be safe: wrong
- ✗ B. Leave it unlabeled forever: unclear
- ✗ C. Record it as an expense: wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q2 · question page 1262

ENT.BOOK.04 · Handle the complications: unclear transfers

Two partners contribute 1,000 and 3,000 dollars. They agreed contributions affect ownership. What share did the first partner contribute?

Answer: B. 25 percent

1,000 / 4,000 = 0.25.

- ✗ A. 33 percent: used 1,000 / 3,000
- ✗ C. 50 percent: equal split
- ✗ D. 75 percent: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S60-F2-Q3 · question page 1263

ENT.BOOK.04 · Handle the complications: unclear transfers

A corporation pays its owner-employee a salary through payroll. How does this differ from a sole proprietor's draw?

Answer: C. Salary through payroll is usually a business expense

Structure changes the treatment; ask a tax professional.

- ✗ A. It is exactly the same as a draw: structure matters
- ✗ B. It is recorded as sales: not sales
- ✗ D. Salaries are never allowed for owners of any business: they are for corporations

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q4 · question page 1264

ENT.BOOK.04 · Handle the complications: unclear transfers

For the year, an owner's draws exceed the business's profit, with no new owner contributions or other equity changes. What happens to owner's equity?

Answer: A. It goes down

Taking more than profit reduces equity.

- ✗ B. It becomes revenue: not revenue
- ✗ C. It goes up: opposite
- ✗ D. It stays the same: it changes

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q5 · question page 1265

ENT.BOOK.04 · Handle the complications: unclear transfers

Which statement is accurate?

Answer: A. Owner money moves are recorded, but not as sales or (for draws) expenses.

Correct labels keep profit honest.

- ✗ B. Draws are always deductible expenses.: not for sole props
- ✗ C. Owner money never needs to be recorded at all, since it is the owner's own money.: must be recorded
- ✗ D. All owner money is revenue.: not revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q1 · question page 1267

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Under cash basis, when is income recorded?

Answer: A. When money is received

Cash basis follows money in.

- ✗ B. When the invoice is designed in software: not received
- ✗ C. When the customer first asks for a quote: too early
- ✗ D. When the work is advertised online: not income

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q2 · question page 1268

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Under accrual basis, when is income recorded?

Answer: D. When it is earned

Accrual follows earning.

- ✗ A. Only when the owner takes a draw: unrelated
- ✗ B. Only when cash arrives in the bank: that is cash
- ✗ C. Only at the end of each tax year: not the rule

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q3 · question page 1269

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Work done in December, paid in January. Under accrual, which month gets the income?

Answer: B. December

Earned in December.

- ✗ A. January: cash basis
- ✗ C. Neither month: it counts
- ✗ D. Both months equally: not split

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q4 · question page 1270

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Same job under cash basis: which month?

Answer: D. January

Received in January.

- ✗ A. Both months: not split
- ✗ B. December: accrual
- ✗ C. Neither month: it counts

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q5 · question page 1271

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Who should be asked about which method a business may use for taxes?

Answer: C. A tax professional

Tax method rules vary.

- ✗ A. A social media follower: not qualified
- ✗ B. The supplier of packaging: not qualified
- ✗ D. A customer who likes the products: not qualified

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q1 · question page 1272

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Counting when you finish the work is like which basis?

Answer: A. Accrual

Accrual counts when earned.

✗ B. Neither: accrual

✗ C. Cash: when payment arrives

✗ D. Both: just one

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q2 · question page 1273

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Counting when the grade comes back is like which basis?

Answer: B. Cash

Cash counts when money arrives.

✗ A. Both: just one

✗ C. Neither: cash

✗ D. Accrual: when earned

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q3 · question page 1274

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Does the amount of work change between methods?

Answer: A. No, only the timing

Only timing differs.

✗ B. Yes, it halves: no

✗ C. Yes, it doubles: no

✗ D. Yes, it disappears: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q4 · question page 1275

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

In the picture, the "grade coming back" stands for what?

Answer: C. Money received

Cash basis waits for money.

- ✗ A. Work finished: accrual
- ✗ B. A late fee: no
- ✗ D. A new assignment: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q5 · question page 1276

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Why might the same job land in different months?

Answer: D. The two methods use different moments

Different timing rules.

- ✗ A. The job changed: no
- ✗ B. One is illegal: no
- ✗ C. Customers decide the month to use: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q1 · question page 1277

ENT.BOOK.05 · Apply it: place income and expenses in the right month

A plumber finishes a 900-dollar job on March 28 and is paid April 5. Under cash basis, how much March income does this job add?

Answer: D. 0 dollars

Cash basis records April.

- ✗ A. 900 dollars: accrual
- ✗ B. 5 dollars: confused date
- ✗ C. 450 dollars: split

Arithmetic checked by code: yes. Sources: none (stable)

S61-F1-Q2 · question page 1278

ENT.BOOK.05 · Apply it: place income and expenses in the right month

A shop receives a 300-dollar supply bill in June and pays it in July. Under accrual, when is the expense?

Answer: C. June

Incurred in June.

- ✗ A. Never: it counts
- ✗ B. August: neither
- ✗ D. July: cash basis

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q3 · question page 1279

ENT.BOOK.05 · Apply it: place income and expenses in the right month

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under cash basis, May income is?

Answer: B. 2,500 dollars

Only cash received counts.

- ✗ A. 1,500 dollars: unpaid part
- ✗ C. 6,500 dollars: added
- ✗ D. 4,000 dollars: accrual

Arithmetic checked by code: yes. Sources: none (stable)

S61-F1-Q4 · question page 1280

ENT.BOOK.05 · Apply it: place income and expenses in the right month

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under accrual, May income is?

Answer: A. 4,000 dollars

All earned work counts.

- ✗ B. 2,500 dollars: cash
- ✗ C. 0 dollars: it was earned
- ✗ D. 1,500 dollars: unpaid

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q5 · question page 1281

ENT.BOOK.05 · Apply it: place income and expenses in the right month

Which method shows more clearly how much work was done each month?

Answer: D. Accrual

Accrual matches income to work.

- ✗ A. Both always match: not always
- ✗ B. Cash: follows payments
- ✗ C. Neither method: accrual does

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q1 · question page 1282

ENT.BOOK.05 · Handle the complications: switching and mixing methods

An owner records some income when invoiced and some when paid. What is the problem?

Answer: D. Income may be counted twice or missed

Pick one method consistently.

- ✗ A. It makes records more accurate: less
- ✗ B. Taxes are automatically lower: no
- ✗ C. Nothing; mixing methods is recommended: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q2 · question page 1283

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Under cash basis, an owner prepays 12 months of insurance (1,200 dollars) in January. What does January show?

Answer: C. 1,200 dollars of expense

Cash basis records it when paid.

- ✗ A. 100 dollars of expense: accrual-style spreading
- ✗ B. 2,400 dollars of expense: doubled
- ✗ D. 0 dollars of expense: it was paid

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q3 · question page 1284

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Under accrual, the same 1,200-dollar insurance covers 12 months. About how much is recorded as each month's expense?

Answer: A. 100 dollars

1,200 / 12 = 100.

- ✗ B. 1,200 dollars: all at once
- ✗ C. 0 dollars: it is used
- ✗ D. 12 dollars: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S61-F2-Q4 · question page 1285

ENT.BOOK.05 · Handle the complications: switching and mixing methods

A business wants to change its tax accounting method. What should it do first?

Answer: B. Ask a tax professional about the rules

Method changes can have rules.

✗ A. Change it silently in the middle of the year: may cause problems

✗ C. Ask a customer: not qualified

✗ D. Use both methods at once: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q5 · question page 1286

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Which statement is accurate?

Answer: D. Cash and accrual differ in timing, not in total amounts over time.

Timing is the difference.

✗ A. Accrual ignores unpaid invoices.: it includes them

✗ B. Accrual always shows more profit.: not always

✗ C. Cash basis is illegal for every kind of business to use.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q1 · question page 1288

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report shows profit over a month?

Answer: C. The profit and loss statement

The P&L shows profit.

✗ A. The balance sheet on one date: snapshot, not profit

✗ B. The cash flow statement only: cash movement

✗ D. The supplier's price list: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q2 · question page 1289

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report shows what the business owns and owes on one date?

Answer: D. The balance sheet

The balance sheet is a snapshot.

- ✗ A. A marketing plan for the year: not a report
- ✗ B. The cash flow statement: cash movement
- ✗ C. The profit and loss statement: over a period

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q3 · question page 1290

ENT.BOOK.06 · Read the three basic reports and match each to its question

Assets are 10,000 dollars and liabilities are 4,000 dollars. What is equity?

Answer: B. 6,000 dollars

10,000 - 4,000 = 6,000.

- ✗ A. 14,000 dollars: added
- ✗ C. 10,000 dollars: assets
- ✗ D. 4,000 dollars: liabilities

Arithmetic checked by code: yes. Sources: none (stable)

S62-M-Q4 · question page 1291

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which is a liability?

Answer: A. An unpaid bank loan

Liabilities are amounts owed.

- ✗ B. Inventory on shelves: asset
- ✗ C. A delivery van owned: asset
- ✗ D. Cash in the business account: asset

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q5 · question page 1292

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report best shows where cash came from and went?

Answer: B. The cash flow statement

Cash flow tracks cash movement.

- ✗ A. A customer review page: not a report
- ✗ C. The profit and loss statement: profit, not cash
- ✗ D. The balance sheet: snapshot

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-B1-Q1 · question page 1293

ENT.BOOK.06 · Using assets = liabilities + equity

Liabilities 2,000, equity 7,000. What are assets?

Answer: D. 9,000

2,000 + 7,000 = 9,000.

- ✗ A. 7,000: equity
- ✗ B. 2,000: liabilities
- ✗ C. 5,000: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q2 · question page 1294

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 12,000, liabilities 5,000. What is equity?

Answer: C. 7,000

12,000 - 5,000 = 7,000.

✗ A. 5,000: liabilities

✗ B. 17,000: added

✗ D. 12,000: assets

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q3 · question page 1295

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 6,000, equity 6,000. What are liabilities?

Answer: B. 0

6,000 - 6,000 = 0.

✗ A. 12,000: added

✗ C. 6,000: equity

✗ D. 1: ratio

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q4 · question page 1296

ENT.BOOK.06 · Using assets = liabilities + equity

Which equation is correct?

Answer: C. Assets = liabilities + equity

The basic equation.

✗ A. Liabilities = assets + equity: wrong

✗ B. Equity = assets + liabilities: wrong

✗ D. Assets = liabilities - equity: wrong sign

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-B1-Q5 · question page 1297

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 4,500, liabilities 1,500. What is equity?

Answer: D. 3,000

4,500 - 1,500 = 3,000.

- ✗ A. 4,500: assets
- ✗ B. 6,000: added
- ✗ C. 1,500: liabilities

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q1 · question page 1298

ENT.BOOK.06 · Apply it: answer questions with the right report

An owner wants to know if March was profitable. Which report?

Answer: A. The March profit and loss statement

The P&L answers profitability.

- ✗ B. The balance sheet from last year: wrong period and type
- ✗ C. A list of customer names: not a report
- ✗ D. The supplier's catalog: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F1-Q2 · question page 1299

ENT.BOOK.06 · Apply it: answer questions with the right report

A lender wants to know how much the business owes in total today. Which report?

Answer: B. The balance sheet

Liabilities appear on the balance sheet.

- ✗ A. A tax receipt: not a report
- ✗ C. The profit and loss statement: period results
- ✗ D. A sales flyer: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F1-Q3 · question page 1300

ENT.BOOK.06 · Apply it: answer questions with the right report

A P&L shows revenue 8,000 and expenses 6,500. What profit does it report?

Answer: D. 1,500 dollars

8,000 - 6,500 = 1,500.

- ✗ A. 6,500 dollars: expenses
- ✗ B. 14,500 dollars: added
- ✗ C. 8,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q4 · question page 1301

ENT.BOOK.06 · Apply it: answer questions with the right report

Profit was 1,500 but cash fell by 700 because the owner bought equipment for 2,200. Which report shows this cash use clearly?

Answer: C. The cash flow statement

Cash flow shows the purchase.

- ✗ A. The logo guide: not a report
- ✗ B. The profit and loss statement alone: misses equipment purchase
- ✗ D. A customer survey: not a report

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q5 · question page 1302

ENT.BOOK.06 · Apply it: answer questions with the right report

A balance sheet shows cash 2,000, equipment 3,000, a loan of 1,500 and unpaid bills of 500. What is equity?

Answer: A. 3,000 dollars

(2,000 + 3,000) - (1,500 + 500) = 3,000.

- ✗ B. 2,000 dollars: liabilities only
- ✗ C. 5,000 dollars: assets only
- ✗ D. 7,000 dollars: added all

Arithmetic checked by code: yes. Sources: none (stable)

S62-F2-Q1 · question page 1303

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

The P&L shows a profit, but the bank balance fell. What could explain it?

Answer: D. Cash was used for equipment, loan payments or draws

Different reports measure different things.

- ✗ A. The P&L must be fake: not necessarily
- ✗ B. The bank made a mistake on every single statement: unlikely
- ✗ C. Profit and cash must always match: they can differ

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q2 · question page 1304

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

A balance sheet does not balance: assets 9,000, liabilities 3,000, equity 5,000. What is the gap?

Answer: C. 1,000 dollars

9,000 - 8,000 = 1,000.

- ✗ A. 0 dollars: it does not balance
- ✗ B. 8,000 dollars: sum
- ✗ D. 9,000 dollars: assets

Arithmetic checked by code: yes. Sources: none (stable)

S62-F2-Q3 · question page 1305

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

What should the owner do about that gap?

Answer: B. Look for a missing or mislabeled record

An imbalance signals an error.

- ✗ A. Add 1,000 dollars of fake equity: false
- ✗ C. Ignore it because reports never balance: they should
- ✗ D. Delete the balance sheet: not a fix

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q4 · question page 1306

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

An owner reads only the P&L and misses that a large loan is due next month. Which report would have shown the loan?

Answer: A. The balance sheet

Liabilities are on the balance sheet.

- ✗ B. The P&L alone: not liabilities
- ✗ C. A customer list: no
- ✗ D. A marketing report: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q5 · question page 1307

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

Which statement is accurate?

Answer: C. Each report answers a different question, so review all three.

Use them together.

- ✗ A. Reports are only for big companies.: all benefit

✗ B. Cash flow and profit are the same report.: different

✗ D. One report tells everything an owner needs to know about a business.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S63-M-Q1 · question page 1309

ENT.TAX.01 · Explain how deductions and credits differ

What does a deduction lower?

Answer: A. The income that tax is calculated on

Deductions reduce taxable income.

✗ B. The tax itself, dollar for dollar, after it is calculated: that is a credit

✗ C. The price customers pay for each product: unrelated

✗ D. The interest rate on a business loan: unrelated

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q2 · question page 1310

ENT.TAX.01 · Explain how deductions and credits differ

What does a credit lower?

Answer: B. The tax itself, dollar for dollar

Credits cut the tax directly.

✗ A. Only the number of receipts the owner must keep: unrelated

✗ C. Only the sales tax collected from customers: different tax

✗ D. Only the income that tax is calculated on: that is a deduction

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q3 · question page 1311

ENT.TAX.01 · Explain how deductions and credits differ

With a made-up 20 percent rate, how much tax does a 500-dollar deduction save?

Answer: C. 100 dollars

0.20 x 500 = 100.

- ✗ A. 500 dollars: treated as credit
- ✗ B. 20 dollars: used rate as dollars
- ✗ D. 400 dollars: subtracted

Arithmetic checked by code: yes. Sources: irs_credits

S63-M-Q4 · question page 1312

ENT.TAX.01 · Explain how deductions and credits differ

With a made-up 20 percent rate, assume a 500-dollar credit is fully eligible and usable. How much tax does it save?

Answer: A. 500 dollars

A credit saves its full amount.

- ✗ B. 100 dollars: treated as deduction
- ✗ C. 20 dollars: used rate
- ✗ D. 2,500 dollars: divided by rate

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q5 · question page 1313

ENT.TAX.01 · Explain how deductions and credits differ

Which expenses are commonly deductible for a business?

Answer: B. Ordinary and necessary business expenses

The business purpose matters.

- ✗ A. Only expenses over 10,000 dollars each: not a rule
- ✗ C. Any personal purchase the owner makes during the year: personal is not business

✗ D. Only expenses paid in cash with no receipt: records matter

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q1 · question page 1314

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

A deduction is like which coupon?

Answer: C. One that lowers the amount tax is figured on

It shrinks the base.

✗ A. One that expired: no
✗ B. One that adds a fee: no
✗ D. One that comes straight off the final bill: that is a credit

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q2 · question page 1315

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

A credit is like which coupon?

Answer: A. One straight off the final bill

It cuts what you owe.

✗ B. One for a free gift: no
✗ C. One that lowers the base: deduction
✗ D. One that raises the final bill: no

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q3 · question page 1316

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

For the same dollar amount, which usually saves more?

Answer: B. The credit

Credits save dollar for dollar.

- ✗ A. They always save the same: not usually
- ✗ C. Neither saves anything: both save
- ✗ D. The deduction: saves only part

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q4 · question page 1317

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

What does "the amount tax is figured on" mean here?

Answer: C. Taxable income

The base is taxable income.

- ✗ A. The coupon's color: no
- ✗ B. The store's name: no
- ✗ D. The final bill: tax owed

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q5 · question page 1318

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

"Straight off what you owe" describes what?

Answer: A. A credit

Credits cut tax owed.

- ✗ B. A deduction: base, not bill
- ✗ C. A refund policy: no
- ✗ D. A fee: no

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F1-Q1 · question page 1319

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Assume a 25 percent rate (an assumption for practice). A 2,000-dollar business expense is deductible. About how much tax does it save?

Answer: D. 500 dollars

0.25 x 2,000 = 500.

- ✗ A. 25 dollars: used rate as dollars
- ✗ B. 2,000 dollars: treated as credit
- ✗ C. 1,500 dollars: subtracted

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q2 · question page 1320

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Assume a flat made-up 25 percent rate and that the credit is fully eligible and usable. Which saves more: a 1,000-dollar deduction or a 400-dollar credit?

Answer: A. The 400-dollar credit

Deduction: 0.25 x 1,000 = 250 dollars. Credit: 400 dollars.

- ✗ B. They save exactly the same amount of tax: they differ
- ✗ C. The 1,000-dollar deduction, since it is a bigger number: saves only 250
- ✗ D. Neither one changes the tax owed: both do

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q3 · question page 1321

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

An owner says, "Buying anything is free because it's a deduction." What is wrong?

Answer: B. A deduction saves only part of the cost

You still pay most of the cost.

- ✗ A. Nothing; deductions refund the whole price: not true

✗ C. Deductions are always illegal: not true

✗ D. Purchases cannot be deducted ever: business expenses can be

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F1-Q4 · question page 1322

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

With a 25 percent assumed rate, a 600-dollar printer that is fully deductible really costs the owner about how much after tax savings?

Answer: C. 450 dollars

600 - 150 = 450.

✗ A. 0 dollars: not free

✗ B. 150 dollars: only the savings

✗ D. 600 dollars: ignores savings

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q5 · question page 1323

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Which is the best source to confirm which credits a business qualifies for?

Answer: D. A tax professional or official tax agency guidance

Credits depend on current law.

✗ A. A product advertisement promising "tax-free" purchases: marketing

✗ B. A friend's guess based on a different year: outdated

✗ C. A social media post with no source listed: unreliable

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q1 · question page 1324

ENT.TAX.01 · Handle the complications: claims that sound too good

A seller claims a gadget "pays for itself through tax write-offs." What should a buyer understand?

Answer: C. A write-off reduces taxable income; it does not refund the price

Deductions save a fraction of the cost.

- ✗ A. Tax savings always exceed cost: not true
- ✗ B. The government reimburses the full price of the gadget to the buyer: not true
- ✗ D. Write-offs work for personal items too: business use matters

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q2 · question page 1325

ENT.TAX.01 · Handle the complications: claims that sound too good

An owner deducts a family vacation as a business trip. What is the problem?

Answer: D. Personal expenses are not business deductions

Deductions require genuine business purpose.

- ✗ A. Deductions do not need a business purpose: they do
- ✗ B. Vacations are always deductible: not true
- ✗ C. No problem as long as she brings a laptop: not enough

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q3 · question page 1326

ENT.TAX.01 · Handle the complications: claims that sound too good

The owner does not know her flat marginal rate, only that it is below 100 percent. Both items are fully eligible and the credit is fully usable. Can she still compare a deduction and a credit of the same size?

Answer: A. Yes; under these assumptions the credit saves at least as much

A deduction saves rate x amount, which is less than the amount when the rate is below 100 percent; a fully usable credit saves the whole amount.

- ✗ B. Only if the rate is zero: not needed
- ✗ C. No, never without the exact rate: logic works

✗ D. Yes; the deduction always saves more than a credit of the same size: not true

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q4 · question page 1327

ENT.TAX.01 · Handle the complications: claims that sound too good

Credits and deductions available last year may have changed. What should the owner do?

Answer: C. Check current rules each year

Rules change.

✗ A. Copy last year's return exactly: risky
✗ B. Assume tax law never changes: it changes
✗ D. Skip deductions to be safe: may overpay

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q5 · question page 1328

ENT.TAX.01 · Handle the complications: claims that sound too good

Which statement is accurate for this course?

Answer: B. It teaches the idea, not current rates or credit amounts.

Rates in questions are assumptions.

✗ A. The 25 percent rate is the real rate for everyone.: assumption
✗ C. Deductions and credits are the same thing.: different
✗ D. It lists every current tax credit and rate.: not taught

Arithmetic checked by code: not applicable. Sources: irs_credits

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S64-M-Q1 · question page 1330

ENT.TAX.02 · Split mixed-use costs and keep evidence

A phone bill is 80 dollars and 25 percent of use is for business. What is the business portion?

Answer: D. 20 dollars

0.25 x 80 = 20.

- ✗ A. 25 dollars: used percent as dollars
- ✗ B. 60 dollars: personal part
- ✗ C. 80 dollars: the whole bill

Arithmetic checked by code: yes. Sources: none (stable)

S64-M-Q2 · question page 1331

ENT.TAX.02 · Split mixed-use costs and keep evidence

What evidence supports business use of a car?

Answer: A. A mileage log

Logs record business trips.

- ✗ B. A photo of the car's paint color: not evidence of use
- ✗ C. A guess written at year end: unreliable
- ✗ D. The car's brand name on a website: not evidence of use

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q3 · question page 1332

ENT.TAX.02 · Split mixed-use costs and keep evidence

Which item is most likely mixed-use?

Answer: C. A cell phone used for clients and family

Mixed use needs a split.

- ✗ A. Booth rent at a craft fair for selling: business only
- ✗ B. A family birthday cake for the owner's child: personal only
- ✗ D. Packaging bought only for customer orders: business only

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q4 · question page 1333

ENT.TAX.02 · Split mixed-use costs and keep evidence

Generally, which part of a mixed-use cost may be a business expense?

Answer: D. The business-use portion

Only the business share.

- ✗ A. None of it, ever: business portion may be
- ✗ B. Double the business portion: not allowed
- ✗ C. The whole cost, always, with no split needed: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q5 · question page 1334

ENT.TAX.02 · Split mixed-use costs and keep evidence

Where should an owner check home office rules?

Answer: A. Official guidance or a tax professional

Home office rules are specific.

- ✗ B. A video comment from a stranger: unreliable
- ✗ C. A furniture store ad: marketing
- ✗ D. A neighbor's opinion over the fence: not authoritative

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-B1-Q1 · question page 1335

ENT.TAX.02 · Finding a percent of a bill

What is 30 percent of 50?

Answer: C. 15

0.30 x 50 = 15.

✗ A. 35: subtracted

✗ B. 1.5: moved decimal

✗ D. 20: subtracted 30

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q2 · question page 1336

ENT.TAX.02 · Finding a percent of a bill

Business share is 15 of a 50-dollar bill. What is the personal share?

Answer: B. 35

50 - 15 = 35.

✗ A. 65: added

✗ C. 50: whole bill

✗ D. 15: business share

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q3 · question page 1337

ENT.TAX.02 · Finding a percent of a bill

4 of 10 trips were for business. What percent is that?

Answer: A. 40 percent

4 / 10 = 0.40.

✗ B. 14 percent: added

✗ C. 4 percent: not converted

✗ D. 60 percent: personal share

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q4 · question page 1338

ENT.TAX.02 · Finding a percent of a bill

What is 60 percent of 120?

Answer: D. 72

0.60 x 120 = 72.

- ✗ A. 180: added
- ✗ B. 60: used percent as number
- ✗ C. 48: the other 40 percent

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q5 · question page 1339

ENT.TAX.02 · Finding a percent of a bill

How do you check a business and personal split?

Answer: B. The two shares add back to the bill

Shares sum to the total.

- ✗ A. They must be equal: not required
- ✗ C. They should multiply to the bill: no
- ✗ D. The business share must be bigger: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q1 · question page 1340

ENT.TAX.02 · Apply it: calculate business portions with records

A mileage log shows 3,000 business miles out of 12,000 total. What percent is business use?

Answer: C. 25 percent

3,000 / 12,000 = 0.25.

- ✗ A. 75 percent: personal share
- ✗ B. 4 percent: divided wrongly
- ✗ D. 30 percent: used thousands

Arithmetic checked by code: yes. Sources: none (stable)

S64-F1-Q2 · question page 1341

ENT.TAX.02 · Apply it: calculate business portions with records

Home internet is 70 dollars a month; a reasonable record shows 50 percent business use. What is the yearly business portion?

Answer: B. 420 dollars

0.50 x 70 x 12 = 420.

- ✗ A. 840 dollars: whole bill yearly
- ✗ C. 35 dollars: one month
- ✗ D. 70 dollars: one bill

Arithmetic checked by code: yes. Sources: none (stable)

S64-F1-Q3 · question page 1342

ENT.TAX.02 · Apply it: calculate business portions with records

An owner claims 100 percent business use of a car she also drives to the grocery store. What is the issue?

Answer: C. The claim does not match her actual mixed use

Claims should match records.

- ✗ A. No issue, because any business-use percent is allowed: must be accurate
- ✗ B. Grocery trips are business trips: personal
- ✗ D. Cars are never business assets: they can be

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q4 · question page 1343

ENT.TAX.02 · Apply it: calculate business portions with records

Which record best supports a phone business-use percent?

Answer: A. A sample of call and data logs showing business use

Usage records support the split.

- ✗ B. A guess made at tax time: not evidence
- ✗ C. A photo of the phone's case and screen taken at tax time: not use
- ✗ D. The phone's purchase box: not use

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q5 · question page 1344

ENT.TAX.02 · Apply it: calculate business portions with records

A laptop costing 900 dollars is used 80 percent for business. What is the business portion?

Answer: D. 720 dollars

0.80 x 900 = 720.

- ✗ A. 900 dollars: whole cost
- ✗ B. 180 dollars: personal share
- ✗ C. 80 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S64-F2-Q1 · question page 1345

ENT.TAX.02 · Handle the complications: changing use and missing logs

An owner forgot to keep a mileage log for six months. What is a sensible step now?

Answer: C. Start a log now and reconstruct carefully from calendars

Honest reconstruction plus a current log.

- ✗ A. Skip records from now on too: worse
- ✗ B. Claim 100 percent business use: unsupported
- ✗ D. Make up a full log now using round numbers for each week: false record

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q2 · question page 1346

ENT.TAX.02 · Handle the complications: changing use and missing logs

Business use of a phone rises from 30 to 60 percent mid-year. What should records show?

Answer: A. The change and when it happened

Records should reflect reality.

- ✗ B. Only the lower percent: inaccurate
- ✗ C. No percent at all: unsupported
- ✗ D. Only the higher percent for the whole year: inaccurate

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q3 · question page 1347

ENT.TAX.02 · Handle the complications: changing use and missing logs

A family member also uses the business laptop. What should the owner consider?

Answer: A. Whether the business-use percent should be lower

Personal use reduces the business share.

- ✗ B. Raising the business percent: wrong direction
- ✗ C. Hiding the family use: dishonest
- ✗ D. Nothing, because family use never matters for business items: it matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q4 · question page 1348

ENT.TAX.02 · Handle the complications: changing use and missing logs

Rules for home offices are detailed. What is the safest approach?

Answer: C. Read official guidance or ask a tax professional

Get qualified advice for specifics.

✗ A. Copy a friend's home office claim from last year: different facts

✗ B. Assume any room counts: not true

✗ D. Claim the whole home as an office: likely wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q5 · question page 1349

ENT.TAX.02 · Handle the complications: changing use and missing logs

Which statement is accurate?

Answer: C. Mixed-use costs are split, and the split needs evidence.

Split and document.

✗ A. Personal use never matters.: it does

✗ B. Records are optional for mixed-use items.: needed

✗ D. Every purchase by an owner is fully deductible.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S65-M-Q1 · question page 1351

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Who pays sales tax in the end?

Answer: B. The customer, collected by the business

Customers pay; businesses collect.

✗ A. Nobody; it is optional for every sale: often required

✗ C. The business, out of its own profit: collected from customers

✗ D. The supplier, before the item is shipped: not usually

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-M-Q2 · question page 1352

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

What is income tax based on?

Answer: D. Profit

Income tax is on profit.

- ✗ A. The size of the store sign: irrelevant
- ✗ B. The number of employees only: not the base
- ✗ C. Each customer's sales tax amount: different tax

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-M-Q3 · question page 1353

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

A 50-dollar taxable sale with a 6 percent sales tax (example rate). How much tax is collected?

Answer: A. 3 dollars

0.06 x 50 = 3.

- ✗ B. 0.30 dollars: moved decimal
- ✗ C. 6 dollars: used percent as dollars
- ✗ D. 53 dollars: total with tax

Arithmetic checked by code: yes. Sources: sba_launch

S65-M-Q4 · question page 1354

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Why keep collected sales tax separate?

Answer: B. It belongs to the government, not the business

It must be sent to the tax agency.

- ✗ A. It is extra profit the business can spend: not profit
- ✗ C. It doubles if kept in savings: no
- ✗ D. It must be given back to customers each week: not usually

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-M-Q5 · question page 1355

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Do all states have the same sales tax rules?

Answer: A. No; rules vary

Check the specific state and locality.

- ✗ B. No state has sales tax: many do
- ✗ C. Yes; every state is identical: not true
- ✗ D. Yes; federal law sets one rate: no federal sales tax rate

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-B1-Q1 · question page 1356

ENT.TAX.03 · Holding money for someone else

The coach's 5 dollars is like what?

Answer: A. Sales tax collected from customers

You hold it for someone else.

- ✗ B. An owner draw: no
- ✗ C. A refund: no
- ✗ D. The business's own profit for the day: not yours

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q2 · question page 1357

ENT.TAX.03 · Holding money for someone else

Whose money is the coach's 5 dollars?

Answer: D. The coach's

It belongs to the coach.

✗ A. The friend's forever: meant for coach

✗ B. Nobody's: it belongs to someone

✗ C. Yours: you only hold it

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q3 · question page 1358

ENT.TAX.03 · Holding money for someone else

Income tax is a tax on what?

Answer: C. What you earned as profit

Income tax is on your profit.

✗ A. Money held for others: sales tax

✗ B. Your shoes: no

✗ D. Your friend's money: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-B1-Q4 · question page 1359

ENT.TAX.03 · Holding money for someone else

What is the risk of mixing the 5 dollars with your own money?

Answer: A. Spending it by mistake

Separation prevents mistakes.

✗ B. It disappears legally: no

✗ C. It grows: no

✗ D. Nothing at all: risk exists

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-B1-Q5 · question page 1360

ENT.TAX.03 · Holding money for someone else

In this picture, the government is like whom?

Answer: D. The coach

The government receives the tax.

- ✗ A. You: the business
- ✗ B. The friend: customer
- ✗ C. The store: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F1-Q1 · question page 1361

ENT.TAX.03 · Apply it: collect and set aside sales tax

A shop sells 2,000 dollars of taxable goods in a month at a 7 percent example rate. How much sales tax should it set aside?

Answer: B. 140 dollars

0.07 x 2,000 = 140.

- ✗ A. 2,140 dollars: total
- ✗ C. 70 dollars: half
- ✗ D. 14 dollars: moved decimal

Arithmetic checked by code: yes. Sources: sba_launch

S65-F1-Q2 · question page 1362

ENT.TAX.03 · Apply it: collect and set aside sales tax

Customers paid 1,060 dollars including 6 percent tax. How much was the sale before tax?

Answer: D. 1,000 dollars

1,060 / 1.06 = 1,000.

- ✗ A. 996.40 dollars: subtracted 6 percent of total
- ✗ B. 1,060 dollars: included tax
- ✗ C. 63.60 dollars: tax only

Arithmetic checked by code: yes. Sources: sba_launch

S65-F1-Q3 · question page 1363

ENT.TAX.03 · Apply it: collect and set aside sales tax

A new seller plans to start collecting sales tax. What should she do first?

Answer: B. Check whether she needs a permit or account in her state

Registration often comes first.

- ✗ A. Collect it right away and keep it as business profit: not hers
- ✗ C. Pick any rate she likes: set by law
- ✗ D. Wait to see if anyone complains: risky

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-F1-Q4 · question page 1364

ENT.TAX.03 · Apply it: collect and set aside sales tax

A seller collected 300 dollars of sales tax and spent it on supplies. What problem does she face?

Answer: B. She still owes 300 dollars to the tax agency

Collected tax must be paid.

- ✗ A. None; collected tax is hers to spend: not hers
- ✗ C. The tax is cancelled automatically: no
- ✗ D. She owes nothing because she spent it on business: still owed

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F1-Q5 · question page 1365

ENT.TAX.03 · Apply it: collect and set aside sales tax

Which statement correctly separates the two taxes?

Answer: C. Sales tax is collected on sales; income tax is on profit

Different bases.

✗ A. Income tax is collected from each customer: reversed

✗ B. Sales tax is calculated from profit: reversed

✗ D. Both taxes are really the same thing with two different names: different

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q1 · question page 1366

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A seller ships to customers in several states. What should she check?

Answer: B. Each state's rules on when sales tax applies

Multi-state rules can apply.

✗ A. Only her own state, since others never apply: may apply

✗ C. Only the shipping company's policy: not the law

✗ D. Nothing; online sales are never taxed: not true

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-F2-Q2 · question page 1367

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A service business wonders whether its services are taxable. What should it do?

Answer: A. Check the state's rules for that service

Taxability varies by service and state.

✗ B. Assume no services are ever taxable: varies

✗ C. Ask a customer to decide: not their role

✗ D. Assume every service is taxable: varies

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q3 · question page 1368

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A customer claims to be tax-exempt. What should the business usually ask for?

Answer: D. The documentation the state requires

Exemptions usually need proof.

- ✗ A. Nothing; a verbal claim is always enough: usually not
- ✗ B. The customer's bank password: never
- ✗ C. A higher price instead: not appropriate

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q4 · question page 1369

ENT.TAX.03 · Handle the complications: exemptions and multiple places

Sales tax of 450 dollars was collected but filed late. What might result?

Answer: B. Penalties or interest under state rules

File on time.

- ✗ A. The tax is forgiven: not usually
- ✗ C. Nothing at all, ever: late filing has consequences
- ✗ D. A bonus refund from the state for paying at all: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q5 · question page 1370

ENT.TAX.03 · Handle the complications: exemptions and multiple places

Which statement is accurate?

Answer: A. Sales tax rules depend on the place and the item or service, so check officially.

Check the jurisdiction.

- ✗ B. Sales tax is always the seller's profit.: no
- ✗ C. There is one national sales tax rate.: no
- ✗ D. Income tax and sales tax are filed together on one form in every state.:

not necessarily

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S66-M-Q1 · question page 1372

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

What does withheld mean for an employee's paycheck?

Answer: D. Taxes are taken out before she is paid

Withholding pays tax during the year.

- ✗ A. Her taxes are cancelled for the year: not the meaning
- ✗ B. Her boss keeps her bonus as a reward: not the meaning
- ✗ C. Her paycheck is held by the bank for a month: not the meaning

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q2 · question page 1373

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

What does self-employment tax cover?

Answer: B. Social Security and Medicare on net earnings

It covers Social Security and Medicare.

- ✗ A. Sales tax collected from every customer: different tax
- ✗ C. Property tax on the owner's home: different tax
- ✗ D. Import fees on goods from abroad: different tax

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q3 · question page 1374

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Why might a self-employed person make estimated payments?

Answer: D. Tax is pay-as-you-go and nothing is withheld

Payments during the year replace withholding.

- ✗ A. To earn interest from the tax agency on the money: not the purpose
- ✗ B. Because they are optional gifts: not gifts
- ✗ C. To avoid keeping records: records still needed

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q4 · question page 1375

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Is self-employment tax based on total sales or net earnings?

Answer: B. Net earnings

Net earnings after expenses.

- ✗ A. The owner's age: not the base
- ✗ C. The number of customers: not the base
- ✗ D. Total sales before costs: not the base

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q5 · question page 1376

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Where should a person check current rates and deadlines?

Answer: D. The IRS

Rates and dates change.

- ✗ A. A random blog from years ago: outdated
- ✗ B. A customer: not authoritative
- ✗ C. A competitor: not authoritative

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q1 · question page 1377

ENT.TAX.04 · Paying as you go

An employee's taxes are like what?

Answer: C. A pass topped up every paycheck by the employer

Withholding tops up taxes.

- ✗ A. A pass that customers pay for on her behalf: no
- ✗ B. A pass never paid: no
- ✗ D. A free pass: not free

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q2 · question page 1378

ENT.TAX.04 · Paying as you go

Who tops up for a self-employed person?

Answer: B. The person themselves

They make estimated payments.

- ✗ A. Their employer: they have none
- ✗ C. Their regular customers: no
- ✗ D. The bank: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q3 · question page 1379

ENT.TAX.04 · Paying as you go

What can happen if a self-employed person waits until the end?

Answer: C. A large bill all at once

Waiting builds a big balance.

- ✗ A. The bill simply vanishes: no
- ✗ B. A smaller bill: not usually

✗ D. A free year: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q4 · question page 1380

ENT.TAX.04 · Paying as you go

Estimated payments are like what?

Answer: A. Topping up the pass during the year

Pay as you go.

✗ B. A refund: no
✗ C. A fee charged to every customer: no
✗ D. Skipping payments: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-B1-Q5 · question page 1381

ENT.TAX.04 · Paying as you go

Why does the employee not need to top up alone?

Answer: D. The employer withholds taxes from pay

Withholding handles it.

✗ A. Taxes are optional: no
✗ B. Customers pay their taxes for them: no
✗ C. Employees pay no tax: they do

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-F1-Q1 · question page 1382

ENT.TAX.04 · Apply it: recognize when payments are needed

Ana left a job with withholding and now freelances full time. What changed about her taxes?

Answer: B. Nobody withholds tax, so she may need estimated payments

She must plan payments herself.

- ✗ A. Her clients must pay her taxes for her: not usually
- ✗ C. Freelancers never owe any tax at all: not true
- ✗ D. Her old employer still withholds tax for her each month: not anymore

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q2 · question page 1383

ENT.TAX.04 · Apply it: recognize when payments are needed

Ben's side business earns net profit. He also has a job with withholding. What should he check?

Answer: A. Whether his withholding covers the extra tax

Side income can create extra tax.

- ✗ B. Only his customers' tax situations: irrelevant
- ✗ C. Only his job's vacation policy: irrelevant
- ✗ D. Nothing, because side income is never taxed at all: it is

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q3 · question page 1384

ENT.TAX.04 · Apply it: recognize when payments are needed

Sales are 30,000 dollars and business expenses are 12,000 dollars. What are net earnings (ignoring other adjustments)?

Answer: B. 18,000 dollars

30,000 - 12,000 = 18,000.

- ✗ A. 12,000 dollars: expenses
- ✗ C. 30,000 dollars: total sales
- ✗ D. 42,000 dollars: added

Arithmetic checked by code: yes. Sources: irs_se; irs_estimated

---

S66-F1-Q4 · question page 1385

ENT.TAX.04 · Apply it: recognize when payments are needed

A freelancer plans to pay all tax once, at filing time, after a profitable year. What risk does she face?

Answer: D. A large bill and possible penalties for not paying during the year

Pay-as-you-go rules may apply.

- ✗ A. No risk at all: there is risk
- ✗ B. A guaranteed refund: no
- ✗ C. Lower taxes than everyone else who pays during the year: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-F1-Q5 · question page 1386

ENT.TAX.04 · Apply it: recognize when payments are needed

Which record helps calculate net earnings?

Answer: C. A ledger of sales and expenses

Records support the calculation.

- ✗ A. A list of social media followers: irrelevant
- ✗ B. A logo file: irrelevant
- ✗ D. A photo of the workspace: irrelevant

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-F2-Q1 · question page 1387

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Income is very uneven: big in summer, small in winter. What helps with estimated payments?

Answer: C. Tracking income each quarter and adjusting

Adjust to actual income.

- ✗ A. Ignoring payments in good months: risky

✗ B. Paying a random amount once a year in December: not tied to income

✗ D. Stopping record keeping in winter: harmful

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q2 · question page 1388

ENT.TAX.04 · Handle the complications: uneven income and missed payments

A freelancer missed an estimated payment. What is a sensible step?

Answer: D. Pay as soon as possible and check IRS guidance

Act promptly.

✗ A. Wait several years until someone from the IRS asks: worse

✗ B. Stop working to avoid taxes: not a solution

✗ C. Assume it is forgiven automatically: not usually

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-F2-Q3 · question page 1389

ENT.TAX.04 · Handle the complications: uneven income and missed payments

A friend tells her a specific self-employment tax rate from memory. What should she do?

Answer: A. Confirm it with the current IRS page

Rates and thresholds change.

✗ B. Ask a customer: not authoritative

✗ C. Ignore self-employment taxes altogether: harmful

✗ D. Use it without checking: may be outdated

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S66-F2-Q4 · question page 1390

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Which situation most clearly needs a tax professional's help?

Answer: C. Several income sources and big swings in profit

Complex situations benefit from help.

- ✗ A. Choosing a font for invoices: not tax
- ✗ B. Deciding on a logo color: not tax
- ✗ D. Picking a business email name for clients: not tax

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q5 · question page 1391

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Which statement is accurate for this course?

Answer: B. It teaches why these taxes exist, not current rates or dates.

Check current IRS rules.

- ✗ A. Self-employed people never pay Social Security or Medicare taxes.: they do
- ✗ C. Estimated payments are only for corporations.: not only
- ✗ D. It gives the exact current tax rate.: not taught

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

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S67-M-Q1 · question page 1393

ENT.TAX.05 · Set aside a planned share of income for taxes

With a 25 percent assumption, how much of a 1,200-dollar payment goes to tax savings?

Answer: B. 300 dollars

0.25 x 1,200 = 300.

- ✗ A. 1,200 dollars: all
- ✗ C. 900 dollars: what remains
- ✗ D. 25 dollars: used percent as dollars

Arithmetic checked by code: yes. Sources: irs_estimated

S67-M-Q2 · question page 1394

ENT.TAX.05 · Set aside a planned share of income for taxes

Why use a separate tax savings account?

Answer: C. So tax money is not spent by mistake

Separation protects the money.

- ✗ A. Because tax agencies require a special account: not a rule
- ✗ B. Because it earns guaranteed high returns: not guaranteed
- ✗ D. Because it lowers the tax owed automatically: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

S67-M-Q3 · question page 1395

ENT.TAX.05 · Set aside a planned share of income for taxes

What does this course say about the 25 or 30 percent figures?

Answer: D. They are practice assumptions, not advice

Use them for practice only.

- ✗ A. They never need checking: should be checked
- ✗ B. They are the official rate for every person: not true
- ✗ C. They are required by law: not true

Arithmetic checked by code: not applicable. Sources: irs_estimated

S67-M-Q4 · question page 1396

ENT.TAX.05 · Set aside a planned share of income for taxes

With a 30 percent assumption, how much of a 500-dollar payment is set aside?

Answer: B. 150 dollars

0.30 x 500 = 150.

✗ A. 350 dollars: remainder

✗ C. 30 dollars: percent as dollars

✗ D. 170 dollars: arithmetic slip

Arithmetic checked by code: yes. Sources: irs_estimated

S67-M-Q5 · question page 1397

ENT.TAX.05 · Set aside a planned share of income for taxes

When should the percentage be reviewed?

Answer: C. When income or circumstances change

Adjust as things change.

✗ A. Never; set it once and keep it forever: should adjust

✗ B. Only every ten years: too rare

✗ D. Only when a customer asks: not related

Arithmetic checked by code: not applicable. Sources: irs_estimated

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S67-B1-Q1 · question page 1398

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 20 percent of 1,000. How much is set aside?

Answer: D. 200

0.20 x 1,000 = 200.

✗ A. 1,200: added

✗ B. 800: kept

✗ C. 20: percent as number

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q2 · question page 1399

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 20 percent of 1,000. How much is kept?

Answer: A. 800

1,000 - 200 = 800.

- ✗ B. 200: set aside
- ✗ C. 1,020: added
- ✗ D. 980: subtracted 20

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q3 · question page 1400

ENT.TAX.05 · Taking a share and keeping the rest

Keep = payment x (1 - percent). For 30 percent, multiply by what?

Answer: C. 0.70

1 - 0.30 = 0.70.

- ✗ A. 1.30: increase
- ✗ B. 0.30: set-aside share
- ✗ D. 70: not decimal

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-B1-Q4 · question page 1401

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 25 percent of 400. How much is set aside?

Answer: B. 100

0.25 x 400 = 100.

- ✗ A. 300: kept
- ✗ C. 425: added
- ✗ D. 25: percent as number

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q5 · question page 1402

ENT.TAX.05 · Taking a share and keeping the rest

How do you check the split?

Answer: D. Set-aside plus kept equals the payment

Parts add back to the whole.

- ✗ A. Kept must be zero: no
- ✗ B. They must be equal: not required
- ✗ C. Multiply the two parts together to check: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q1 · question page 1403

ENT.TAX.05 · Apply it: plan tax savings for a month

A freelancer receives 1,500, 900 and 2,100 dollars in a month. With a 25 percent assumption, how much goes to tax savings?

Answer: D. 1,125 dollars

(1,500 + 900 + 2,100) x 0.25 = 1,125.

- ✗ A. 3,375 dollars: kept
- ✗ B. 4,500 dollars: total income
- ✗ C. 375 dollars: only one payment

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F1-Q2 · question page 1404

ENT.TAX.05 · Apply it: plan tax savings for a month

A freelancer receives 1,500, 900 and 2,100 dollars in a month and sets aside 25 percent for taxes. How much is left for business and personal use?

Answer: B. 3,375 dollars

4,500 - 1,125 = 3,375.

- ✗ A. 1,125 dollars: set aside
- ✗ C. 2,250 dollars: half
- ✗ D. 4,500 dollars: total

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F1-Q3 · question page 1405

ENT.TAX.05 · Apply it: plan tax savings for a month

Which habit is most reliable?

Answer: D. Move the tax share as soon as each payment arrives

Immediate transfers work best.

- ✗ A. Keep tax money in the everyday spending account: easy to spend
- ✗ B. Move whatever is left at the end of the year: often nothing left
- ✗ C. Wait until the tax bill arrives to look for money: risky

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q4 · question page 1406

ENT.TAX.05 · Apply it: plan tax savings for a month

A seller sets aside 25 percent of each sale's full price, but much of the price is sales tax and costs. What should she reconsider?

Answer: D. Basing the set-aside on profit, with sales tax handled separately

Income tax relates to profit; sales tax is separate.

- ✗ A. Setting aside nothing at all: risky
- ✗ B. Mixing sales tax into her own savings: confusing
- ✗ C. Setting aside 100 percent of every sale's full price for taxes: excessive

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q5 · question page 1407

ENT.TAX.05 · Apply it: plan tax savings for a month

Tax savings hold 2,400 dollars and an estimated payment of 1,800 dollars is due. What remains in savings?

Answer: C. 600 dollars

2,400 - 1,800 = 600.

- ✗ A. 1,800 dollars: payment
- ✗ B. 4,200 dollars: added
- ✗ D. 2,400 dollars: no payment

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F2-Q1 · question page 1408

ENT.TAX.05 · Handle the complications: tempting balances and changes

A slow month tempts the owner to use the tax savings for rent. What is the risk?

Answer: A. She may not have money when tax is due

Borrowing from tax savings creates a later gap.

- ✗ B. None; tax savings are just extra money: not extra
- ✗ C. The tax bill shrinks automatically: no
- ✗ D. Rent counts as a tax payment: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q2 · question page 1409

ENT.TAX.05 · Handle the complications: tempting balances and changes

Profit doubled this year. What should happen to the tax savings plan?

Answer: D. Review it, since tax may also rise

Higher profit can mean higher tax.

- ✗ A. Keep the same dollar amount as before: may be too low

✗ B. Stop saving because profit is high: risky

✗ C. Spend the extra profit first: risky

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q3 · question page 1410

ENT.TAX.05 · Handle the complications: tempting balances and changes

Using a 30 percent assumption on 18,000 dollars of profit gives what set-aside?

Answer: C. 5,400 dollars

0.30 x 18,000 = 5,400.

✗ A. 540 dollars: moved decimal

✗ B. 12,600 dollars: kept

✗ D. 18,000 dollars: all

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F2-Q4 · question page 1411

ENT.TAX.05 · Handle the complications: tempting balances and changes

An owner is unsure whether 25 percent is enough for her situation. What is the best next step?

Answer: B. Check with a tax professional or IRS tools

Personalized guidance is needed.

✗ A. Pick 5 percent instead, so she keeps more money: may be too low

✗ C. Guess and never revisit it: risky

✗ D. Ask her customers: not qualified

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q5 · question page 1412

ENT.TAX.05 · Handle the complications: tempting balances and changes

Which statement is accurate?

Answer: C. A set-aside habit is a plan; the right amount depends on the person.

Plan, then verify.

- ✗ A. Self-employed people never owe tax on their business profit.: they can
- ✗ B. 25 percent is always exactly right.: assumption only
- ✗ D. Setting money aside is illegal.: not true

Arithmetic checked by code: not applicable. Sources: irs_estimated

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S68-M-Q1 · question page 1414

ENT.TAX.06 · Keep tax records for the right time and know when to get help

What does the IRS say is the general period for keeping supporting records?

Answer: A. 3 years, with longer periods in some situations

Generally 3 years, sometimes longer.

- ✗ B. 1 month, after which records can be thrown away: too short
- ✗ C. Forever, for every single receipt in every case: not the general rule
- ✗ D. Only until the money is spent: not the rule

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-M-Q2 · question page 1415

ENT.TAX.06 · Keep tax records for the right time and know when to get help

Which records should be kept?

Answer: B. Receipts, invoices, bank statements and mileage logs

Supporting documents matter.

- ✗ A. Only social media posts about sales: not records
- ✗ C. Only the owner's favorite receipts: incomplete
- ✗ D. Only records of sales over 1,000 dollars each, and nothing else: incomplete

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-M-Q3 · question page 1416

ENT.TAX.06 · Keep tax records for the right time and know when to get help

Which is a safe way to store records?

Answer: D. Scanned copies with a backup

Backups protect records.

- ✗ A. Thrown away after filing: too early
- ✗ B. One paper pile in a damp garage: risky
- ✗ C. Only in a phone with no backup: risky

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-M-Q4 · question page 1417

ENT.TAX.06 · Keep tax records for the right time and know when to get help

What do tax forms depend on?

Answer: A. The business structure

Structure determines forms.

- ✗ B. The owner's favorite color: irrelevant
- ✗ C. The shop's paint: irrelevant
- ✗ D. The number of social media posts: irrelevant

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-M-Q5 · question page 1418

ENT.TAX.06 · Keep tax records for the right time and know when to get help

When should an owner ask a tax professional?

Answer: A. When the situation is complex or unclear

Get help when unsure.

✗ B. Only after a penalty arrives: too late

✗ C. Never, under any circumstance at all: help can be needed

✗ D. Only to choose a logo: not tax

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q1 · question page 1419

ENT.TAX.06 · A file box with labeled years

Each folder in the box is for what?

Answer: C. One year

Folders are organized by year.

✗ A. One month only: year

✗ B. One product: no

✗ D. One customer: no

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-B1-Q2 · question page 1420

ENT.TAX.06 · A file box with labeled years

What goes in a folder?

Answer: D. That year's receipts, statements and return copy

Supporting documents.

✗ A. Only empty pages and blank tax forms from a store: no

✗ B. Only ads: no

✗ C. Only photos: no

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-B1-Q3 · question page 1421

ENT.TAX.06 · A file box with labeled years

When may a folder be cleared out?

Answer: B. After the period for that return has passed

Follow the period.

- ✗ A. Never: eventually allowed
- ✗ C. The next day: too early
- ✗ D. Whenever the box gets full of papers: not the rule

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q4 · question page 1422

ENT.TAX.06 · A file box with labeled years

A scanned copy is like what?

Answer: D. A spare box kept elsewhere

Backups protect against loss.

- ✗ A. A tax bill: no
- ✗ B. A new receipt: no
- ✗ C. A recycling bin for paper: no

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-B1-Q5 · question page 1423

ENT.TAX.06 · A file box with labeled years

What is the general period mentioned?

Answer: A. 3 years

Generally 3 years, sometimes longer.

- ✗ B. 3 months: too short
- ✗ C. 3 days: too short
- ✗ D. 30 years: too long

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q1 · question page 1424

ENT.TAX.06 · Apply it: decide what to keep and when to ask

It is 2026. An owner wants to throw out receipts that support her 2025 return. What does the general rule suggest?

Answer: A. Keep them; the general period has not passed

Generally 3 years after filing.

- ✗ B. Keep only half: not the rule
- ✗ C. Throw them out now: too soon
- ✗ D. Throw out the copy of the 2025 return too: too soon

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q2 · question page 1425

ENT.TAX.06 · Apply it: decide what to keep and when to ask

A flood destroys an owner's paper records. Which habit would have helped most?

Answer: D. Scanned copies stored with a backup

Backups protect against disasters.

- ✗ A. Remembering amounts: not proof
- ✗ B. Keeping records in the same basement: still lost
- ✗ C. Writing totals on a sticky note: not proof

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q3 · question page 1426

ENT.TAX.06 · Apply it: decide what to keep and when to ask

Which situation most needs a tax professional?

Answer: C. Hiring first employees and changing to an LLC in the same year

Multiple changes create complexity.

- ✗ A. Updating the website photo: not tax
- ✗ B. Ordering new business cards with the LLC name on them: not tax
- ✗ D. Choosing a coffee supplier: not tax

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q4 · question page 1427

ENT.TAX.06 · Apply it: decide what to keep and when to ask

An owner has 3 years of records with about 400 receipts per year. How many receipts is that?

Answer: C. 1,200 receipts

3 x 400 = 1,200.

- ✗ A. 400 receipts: one year
- ✗ B. 133 receipts: divided
- ✗ D. 403 receipts: added

Arithmetic checked by code: yes. Sources: irs_records

S68-F1-Q5 · question page 1428

ENT.TAX.06 · Apply it: decide what to keep and when to ask

Which file name helps find records later?

Answer: A. "2026-03 receipts - supplies"

Clear names save time.

- ✗ B. "misc final final v2 (new)": vague
- ✗ C. "scan1": vague
- ✗ D. "stuff": vague

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q1 · question page 1429

ENT.TAX.06 · Handle the complications: longer periods and lost records

Some records need to be kept longer than 3 years. What should an owner do if unsure?

Answer: C. Check IRS guidance or ask a tax professional

Some situations have longer periods.

- ✗ A. Throw everything out after exactly 3 years: may be too soon
- ✗ B. Keep nothing: risky
- ✗ D. Ask a customer: not qualified

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q2 · question page 1430

ENT.TAX.06 · Handle the complications: longer periods and lost records

Records for equipment the business still uses were bought 6 years ago. Why might they still matter?

Answer: B. They may support later tax items for that equipment

Property records can matter longer.

- ✗ A. They only matter for customers: no
- ✗ C. Equipment records are illegal to keep after five years: no
- ✗ D. They never matter after purchase: may matter

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q3 · question page 1431

ENT.TAX.06 · Handle the complications: longer periods and lost records

A tax agency asks about a year with missing receipts. What can help?

Answer: A. Bank statements and other records for that year

Other records can support claims.

- ✗ B. New receipts created today for that year: false

✗ C. Nothing at all: some records help

✗ D. A guess: not proof

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q4 · question page 1432

ENT.TAX.06 · Handle the complications: longer periods and lost records

An owner's accountant moves away and the owner has no copies of past returns. What lesson applies?

Answer: B. Keep your own copies of filed returns

Owners should hold their own copies.

✗ A. Accountants must keep records forever for you: not guaranteed

✗ C. Returns are never needed again: they can be

✗ D. Copies are illegal to keep: no

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q5 · question page 1433

ENT.TAX.06 · Handle the complications: longer periods and lost records

Which statement is accurate?

Answer: C. Keep records at least for the general period, and longer when rules require it.

Follow the rules and get help when unsure.

✗ A. Only paper records count.: scans can work

✗ B. Professionals are never needed for taxes.: sometimes needed

✗ D. All records can be thrown out the day after the tax return is filed.: too soon

Arithmetic checked by code: not applicable. Sources: irs_records

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S69-M-Q1 · question page 1435

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does a quote tell a customer?

Answer: D. What a job will cost before work begins

A quote prices the job in advance.

- ✗ A. How much the business paid for its last tax return: unrelated
- ✗ B. Which competitor charges the lowest price nearby: not a quote
- ✗ C. How many hours the owner slept last week: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q2 · question page 1436

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What should a clear quote state about scope?

Answer: A. What is included and what is not

Scope prevents disputes.

- ✗ B. Only the price, with no description of the work at all: too vague
- ✗ C. Only the owner's years of experience in the field: not scope
- ✗ D. A promise that every extra will be free of charge: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q3 · question page 1437

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does "valid for 30 days" mean on a quote?

Answer: B. The price holds for 30 days

Validity sets a time limit.

- ✗ A. The customer pays 30 percent more after accepting: not the meaning
- ✗ C. The work must be finished within 30 minutes: not the meaning

✗ D. The quote can never be accepted after the first day: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q4 · question page 1438

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

How should the price in a quote be built?

Answer: C. From costs and time

Costs and time drive price.

✗ A. From whatever a friend charged years ago: unrelated costs
✗ B. From a quick guess on the spot: unreliable
✗ D. From the customer's budget alone: may not cover costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q5 · question page 1439

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does a proposal usually add beyond a quote?

Answer: D. The problem, deliverables and timeline

Proposals give fuller detail.

✗ A. A copy of the owner's personal bank statements: private
✗ B. Nothing at all; they are always identical: proposals add detail
✗ C. A list of the owner's favorite hobbies and interests: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q1 · question page 1440

ENT.PAY.01 · A restaurant menu with a clear price

Which menu line is clearer?

Answer: B. "Burger with fries, 12 dollars; cheese 1 dollar extra"

Clear items and prices.

- ✗ A. "Prices change every hour": vague
- ✗ C. "Food, about 10 dollars, maybe more, depending on the day": vague
- ✗ D. "Ask the cook what it costs": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q2 · question page 1441

ENT.PAY.01 · A restaurant menu with a clear price

"Cheese 1 dollar extra" is like what in a quote?

Answer: D. An item not included in the base price

Extras are listed separately.

- ✗ A. A tax on all food: not tax
- ✗ B. A discount: not a discount
- ✗ C. A free gift for every customer who orders: not free

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q3 · question page 1442

ENT.PAY.01 · A restaurant menu with a clear price

Why is "about 10, maybe more" a problem?

Answer: B. The customer cannot know the final price

Vague prices cause disputes.

- ✗ A. It is always cheaper: not known
- ✗ C. It makes the cooking go faster in the kitchen: unrelated
- ✗ D. It is required by law: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q4 · question page 1443

ENT.PAY.01 · A restaurant menu with a clear price

A clear quote should read like what?

Answer: B. The good menu

Clear and specific.

- ✗ A. A blank page: empty
- ✗ C. The bad menu: vague
- ✗ D. A shopping list: not priced

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q5 · question page 1444

ENT.PAY.01 · A restaurant menu with a clear price

What does a clear menu prevent?

Answer: A. Surprises when the bill arrives

Clarity prevents surprises.

- ✗ B. Taxes being paid: no
- ✗ C. Customers ordering food at all: no
- ✗ D. The cook working: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q1 · question page 1445

ENT.PAY.01 · Apply it: build and improve a quote

A painter estimates 12 hours at 40 dollars an hour plus 180 dollars of paint. What should the quote total be?

Answer: D. 660 dollars

12 x 40 + 180 = 660.

- ✗ A. 220 dollars: added hours and rate

✗ B. 180 dollars: paint only

✗ C. 480 dollars: labor only

Arithmetic checked by code: yes. Sources: none (stable)

S69-F1-Q2 · question page 1446

ENT.PAY.01 · Apply it: build and improve a quote

Which quote is clearest?

Answer: B. "Paint 2 bedrooms, walls only, 660 dollars, valid 30 days"

Scope, price and validity.

✗ A. "Rooms painted, price depends on my mood": vague

✗ C. "Painting, around 600 or so, and we will see about the rest later": vague

✗ D. "Whatever you think is fair for the painting": no price

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q3 · question page 1447

ENT.PAY.01 · Apply it: build and improve a quote

A client asks whether ceilings are included. The quote said "walls only." What does the quote show?

Answer: C. Ceilings are not included

Exclusions answer the question.

✗ A. Ceilings are included at no extra charge: quote says walls only

✗ B. The whole house is included: not stated

✗ D. The quote is no longer valid: still valid

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q4 · question page 1448

ENT.PAY.01 · Apply it: build and improve a quote

A quote requires a 30 percent deposit on 660 dollars. How much is the deposit?

Answer: D. 198 dollars

0.30 x 660 = 198.

- ✗ A. 220 dollars: one third
- ✗ B. 30 dollars: percent as dollars
- ✗ C. 462 dollars: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S69-F1-Q5 · question page 1449

ENT.PAY.01 · Apply it: build and improve a quote

A customer accepts a quote 45 days after it was sent; it was valid for 30 days and paint prices rose. What may the owner do?

Answer: D. Update the quote, since the validity period passed

Validity periods allow updating.

- ✗ A. Refuse to speak to the customer: unnecessary
- ✗ B. Honor any old price forever: validity expired
- ✗ C. Double the price without any explanation to the customer: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q1 · question page 1450

ENT.PAY.01 · Handle the complications: underquoting and pressure

An owner quoted 400 dollars, then realized the job will take twice as long as planned. What is a fair approach?

Answer: B. Explain early and agree on any change before doing extra work

Communicate before proceeding.

- ✗ A. Abandon the job without notice: harmful
- ✗ C. Charge 800 dollars at the end without any warning to the client: surprise
- ✗ D. Quietly do half the work: dishonest

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q2 · question page 1451

ENT.PAY.01 · Handle the complications: underquoting and pressure

A client pressures for a quote on the spot without details. What is the best response?

Answer: A. Ask questions or give a range with clear assumptions

Assumptions protect both sides.

- ✗ B. Refuse to ever quote: loses business
- ✗ C. Promise unlimited work for one price: risky
- ✗ D. Give a firm low number right away just to win the job: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q3 · question page 1452

ENT.PAY.01 · Handle the complications: underquoting and pressure

A quote omitted travel time; travel adds 3 hours at 40 dollars. How much was underquoted?

Answer: B. 120 dollars

3 x 40 = 120.

- ✗ A. 13 dollars: divided
- ✗ C. 43 dollars: added
- ✗ D. 40 dollars: one hour

Arithmetic checked by code: yes. Sources: none (stable)

S69-F2-Q4 · question page 1453

ENT.PAY.01 · Handle the complications: underquoting and pressure

Two quotes for the same job: one 30 percent cheaper with no scope listed. What should a customer consider?

Answer: D. What is actually included

Price without scope is hard to compare.

- ✗ A. Only the lower number: ignores scope
- ✗ B. Only the company logo: irrelevant
- ✗ C. Nothing else: scope matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q5 · question page 1454

ENT.PAY.01 · Handle the complications: underquoting and pressure

Which statement is accurate?

Answer: B. A clear quote protects both the customer and the business.

Clarity builds trust.

- ✗ A. Quotes are never binding in any way.: can be relied on
- ✗ C. Exclusions should be hidden.: should be clear
- ✗ D. Vague quotes help businesses charge more fairly in the long run.: cause disputes

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q1 · question page 1456

ENT.PAY.02 · Set payment terms and milestone payments in writing

When should payment terms be written down?

Answer: D. Before work starts

Agree terms up front.

- ✗ A. After the customer refuses to pay: too late
- ✗ B. Only if the job is under 10 dollars: all jobs benefit
- ✗ C. Never; spoken promises are always enough: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q2 · question page 1457

ENT.PAY.02 · Set payment terms and milestone payments in writing

What are milestone payments?

Answer: C. Payments split into parts at stages of a job

Milestones split the price.

- ✗ A. A single payment made a year after the job: not milestones
- ✗ B. A discount for paying in cash only: not milestones
- ✗ D. A fee for driving past a mile marker: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q3 · question page 1458

ENT.PAY.02 · Set payment terms and milestone payments in writing

A 5,000-dollar job uses 30/40/30 milestones. How much is due at the midpoint?

Answer: A. 2,000 dollars

0.40 x 5,000 = 2,000.

- ✗ B. 1,500 dollars: first or last part
- ✗ C. 3,000 dollars: too much
- ✗ D. 5,000 dollars: all

Arithmetic checked by code: yes. Sources: none (stable)

S70-M-Q4 · question page 1459

ENT.PAY.02 · Set payment terms and milestone payments in writing

Which item belongs in payment terms?

Answer: B. Accepted payment methods

Methods are part of terms.

✗ A. The customer's home décor style: irrelevant

✗ C. The owner's favorite song: irrelevant

✗ D. A list of competitors: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q5 · question page 1460

ENT.PAY.02 · Set payment terms and milestone payments in writing

Before adding a late fee to terms, what should be checked?

Answer: C. Whether it is allowed where you operate

Late fees must be lawful.

✗ A. Whether customers will like it: not the rule

✗ B. Whether it rhymes with the business name: irrelevant

✗ D. Nothing; any fee is always allowed: rules vary

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-B1-Q1 · question page 1461

ENT.PAY.02 · Splitting a total by percentages

What is 25 percent of 4,000?

Answer: D. 1,000

0.25 x 4,000 = 1,000.

✗ A. 250: moved decimal

✗ B. 4,025: added

✗ C. 3,000: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q2 · question page 1462

ENT.PAY.02 · Splitting a total by percentages

Do 30, 40 and 30 percent add to 100?

Answer: A. Yes

30 + 40 + 30 = 100.

- ✗ B. No, they add to 110: miscounted
- ✗ C. No, they add to 90: miscounted
- ✗ D. No, they add to 70: miscounted

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q3 · question page 1463

ENT.PAY.02 · Splitting a total by percentages

1,200 at 50/50. What is each payment?

Answer: C. 600

0.50 x 1,200 = 600.

- ✗ A. 50: percent as number
- ✗ B. 1,200: all
- ✗ D. 500: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q4 · question page 1464

ENT.PAY.02 · Splitting a total by percentages

A plan says 20/30/40 percent. What is wrong?

Answer: D. The parts add to only 90 percent

20 + 30 + 40 = 90.

- ✗ A. Percents cannot be used: they can
- ✗ B. The parts add to 110 percent: miscounted
- ✗ C. Nothing is wrong at all: missing 10

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q5 · question page 1465

ENT.PAY.02 · Splitting a total by percentages

3,000 at 40/60. What is the second payment?

Answer: B. 1,800

0.60 x 3,000 = 1,800.

- ✗ A. 600: difference
- ✗ C. 1,200: first payment
- ✗ D. 3,000: all

Arithmetic checked by code: yes. Sources: none (stable)

S70-F1-Q1 · question page 1466

ENT.PAY.02 · Apply it: choose terms for a job

A web designer takes an 8-week, 6,000-dollar project and must buy software licenses at the start. Which terms fit?

Answer: A. A deposit up front with milestone payments

Deposits and milestones match costs to timing.

- ✗ B. Full payment 90 days after finishing: cash strain
- ✗ C. No written terms, just trust: risky
- ✗ D. Payment only if the client is fully happy, someday: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q2 · question page 1467

ENT.PAY.02 · Apply it: choose terms for a job

Terms: 25 percent deposit, balance due on completion, for a 2,400-dollar job. What is the balance?

Answer: D. 1,800 dollars

2,400 - 600 = 1,800.

- ✗ A. 600 dollars: deposit
- ✗ B. 2,400 dollars: all
- ✗ C. 2,375 dollars: subtracted 25

Arithmetic checked by code: yes. Sources: none (stable)

S70-F1-Q3 · question page 1468

ENT.PAY.02 · Apply it: choose terms for a job

A client wants to pay by a method the business does not accept. What helps avoid this?

Answer: A. Listing accepted methods in the terms

Clear methods up front.

- ✗ B. Accepting any method a stranger suggests: risky
- ✗ C. Changing methods after the work is done: confusing
- ✗ D. Refusing to say how to pay: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q4 · question page 1469

ENT.PAY.02 · Apply it: choose terms for a job

Which written term is clearest?

Answer: B. "Balance due within 15 days of the invoice date by bank transfer or card"

Specific timing and method.

- ✗ A. "Payment expected at some point soon": vague
- ✗ C. "Pay whenever you can, I guess, by however works best for you": vague
- ✗ D. "We will talk about money later on": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q5 · question page 1470

ENT.PAY.02 · Apply it: choose terms for a job

A 3,000-dollar project at 30/40/30: the client paid the deposit and the midpoint. How much is still owed?

Answer: C. 900 dollars

0.30 x 3,000 = 900.

- ✗ A. 3,000 dollars: all
- ✗ B. 2,100 dollars: amount paid
- ✗ D. 1,200 dollars: midpoint

Arithmetic checked by code: yes. Sources: none (stable)

S70-F2-Q1 · question page 1471

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

A client has not paid the midpoint milestone but wants the next phase started. What does good practice suggest?

Answer: B. Pause the next phase until the milestone is paid, as the terms say

Follow agreed terms.

- ✗ A. Delete the client's files: harmful
- ✗ C. Double the price as punishment: unfair
- ✗ D. Start the next phase anyway and simply hope the missing payment comes later: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q2 · question page 1472

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

A client asks to change terms from Net 15 to Net 60 after signing. What should the owner do?

Answer: D. Decide whether to agree, and put any change in writing

Written changes avoid confusion.

- ✗ A. Stop all communication: harmful
- ✗ B. Agree verbally and change nothing in the written terms: unclear
- ✗ C. Accept every request automatically: may harm cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q3 · question page 1473

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

Terms say a 1.5 percent monthly late fee (where allowed). A 1,000-dollar balance is 2 months late. What is the simple total of the fees?

Answer: A. 30 dollars

0.015 x 1,000 x 2 = 30.

- ✗ B. 300 dollars: used 15 percent
- ✗ C. 3 dollars: moved decimal
- ✗ D. 15 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S70-F2-Q4 · question page 1474

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

An owner forgot to write terms and the client pays 75 days later. What lesson applies?

Answer: D. Put terms in writing before starting

Written terms set expectations.

- ✗ A. Clients always pay on time: not true
- ✗ B. Terms only matter for big companies: all benefit
- ✗ C. Never work for clients again: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q5 · question page 1475

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

Which statement is accurate?

Answer: D. Clear written terms make late payments less likely and easier to address.

Terms help but do not guarantee.

- ✗ A. Milestones are illegal for small jobs.: not true
- ✗ B. Late fees are allowed everywhere.: rules vary
- ✗ C. Written terms guarantee that every single client will always pay early.: no guarantee

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q1 · question page 1477

ENT.PAY.03 · Write and apply a fair cancellation policy

Why have a cancellation policy?

Answer: A. Last-minute cancellations leave slots you may not fill

It protects the owner's time.

- ✗ B. Because the law requires the same policy everywhere: not a rule
- ✗ C. To stop customers from ever booking again: not the purpose
- ✗ D. To avoid writing any expectations at all: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q2 · question page 1478

ENT.PAY.03 · Write and apply a fair cancellation policy

Using the example policy, a 200-dollar booking is cancelled 3 days before. What is refunded?

Answer: D. 100 dollars

50 percent of 200 = 100.

✗ A. 0 dollars: within 24 hours only

✗ B. 50 dollars: quarter

✗ C. 200 dollars: full refund window

Arithmetic checked by code: yes. Sources: none (stable)

S71-M-Q3 · question page 1479

ENT.PAY.03 · Write and apply a fair cancellation policy

When should the policy be shared?

Answer: C. Before booking

Share it first.

✗ A. Only to customers who complain: inconsistent

✗ B. Never; it is private: customers need it

✗ D. Only after a cancellation happens: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q4 · question page 1480

ENT.PAY.03 · Write and apply a fair cancellation policy

What does applying a policy consistently mean?

Answer: A. Treating similar cases the same way

Consistency is fair.

✗ B. Applying it only to new customers: inconsistent

✗ C. Changing the rules for every customer randomly: inconsistent

✗ D. Ignoring the policy whenever it is inconvenient: inconsistent

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q5 · question page 1481

ENT.PAY.03 · Write and apply a fair cancellation policy

Which is a reasonable planned exception?

Answer: C. A documented emergency

Exceptions should be deliberate.

- ✗ A. A customer who is simply bored: not an emergency
- ✗ B. Anyone who complains loudly: not planned
- ✗ D. A friend of a friend asking nicely: not planned

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q1 · question page 1482

ENT.PAY.03 · Saving a seat at a show

A booked appointment is like what?

Answer: B. A seat held at a show

It reserves a slot.

- ✗ A. A free gift for coming: no
- ✗ C. A coupon: no
- ✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q2 · question page 1483

ENT.PAY.03 · Saving a seat at a show

Why do late cancellations hurt the theater?

Answer: A. The seat is probably left empty

Lost sales.

- ✗ B. The empty seat gets bigger: no
- ✗ C. Tickets become free: no
- ✗ D. The show gets longer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q3 · question page 1484

ENT.PAY.03 · Saving a seat at a show

A cancellation policy is like what?

Answer: D. Ticket refund rules

Rules for refunds.

- ✗ A. A map: no
- ✗ B. A cooking recipe: no
- ✗ C. A menu: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q4 · question page 1485

ENT.PAY.03 · Saving a seat at a show

What does the theater do when it holds your seat?

Answer: C. Turns other people away

Holding a seat has a cost.

- ✗ A. Sells it twice to two people: no
- ✗ B. Closes early: no
- ✗ D. Gives it away: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q5 · question page 1486

ENT.PAY.03 · Saving a seat at a show

For a service business, the "seat" is what?

Answer: A. A slot of the owner's time

Time is the reserved resource.

✗ B. A parking spot: no

✗ C. A product on a shelf: no

✗ D. A chair in the waiting lobby: too literal

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q1 · question page 1487

ENT.PAY.03 · Apply it: apply the policy to cases

Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar session is cancelled 12 hours before. What is refunded?

Answer: C. 0 dollars

Within 24 hours: no refund.

✗ A. 300 dollars: full window

✗ B. 75 dollars: quarter

✗ D. 150 dollars: 50 percent window

Arithmetic checked by code: yes. Sources: none (stable)

S71-F1-Q2 · question page 1488

ENT.PAY.03 · Apply it: apply the policy to cases

Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar booking is cancelled 10 days before. What is refunded?

Answer: A. 300 dollars

7+ days: full refund.

✗ B. 30 dollars: misread

✗ C. 150 dollars: 50 percent window

✗ D. 0 dollars: too late window

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q3 · question page 1489

ENT.PAY.03 · Apply it: apply the policy to cases

A photographer loses 4 late-cancelled sessions a month at 150 dollars each. How much income is at risk without a policy?

Answer: D. 600 dollars

4 x 150 = 600.

- ✗ A. 154 dollars: added
- ✗ B. 37.50 dollars: divided
- ✗ C. 150 dollars: one session

Arithmetic checked by code: yes. Sources: none (stable)

S71-F1-Q4 · question page 1490

ENT.PAY.03 · Apply it: apply the policy to cases

Which expectation statement is clearest?

Answer: C. "You will receive 20 edited photos within 10 days by email."

Specific deliverables and timing.

- ✗ A. "Ask me later about what you get.": vague
- ✗ B. "You will get some photos at some point.": vague
- ✗ D. "Photos come whenever they are ready, eventually, by some method.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q5 · question page 1491

ENT.PAY.03 · Apply it: apply the policy to cases

A customer cancels because of a hospital emergency 6 hours before. The policy allows emergency exceptions. What fits?

Answer: B. Apply the planned exception

Use the planned exception.

✗ A. Charge double for the trouble: unfair

✗ C. Refuse because rules are rules: policy allows exception

✗ D. Ignore the message: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q1 · question page 1492

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

A customer says she never saw the policy. What prevents this next time?

Answer: B. Requiring a checkbox or signature showing the policy was read

Proof of agreement.

✗ A. Changing the policy after booking: unfair

✗ C. Never having a policy at all: no protection

✗ D. Hiding the policy in tiny text at the very bottom of the site: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q2 · question page 1493

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

One client cancels late every month. What is a reasonable step?

Answer: B. Require a nonrefundable deposit for that client's bookings

Deposits protect the slot.

✗ A. Insult the client online: harmful

✗ C. Keep giving that client full refunds forever, no matter what: continued losses

✗ D. Stop working entirely: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q3 · question page 1494

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

A 50 percent refund was promised but the owner refunds only 30 percent of 200 dollars. How much is still owed to the customer?

Answer: B. 40 dollars

Promised 100; refunded 60; owed 40.

- ✗ A. 100 dollars: promised amount
- ✗ C. 60 dollars: what was refunded
- ✗ D. 140 dollars: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S71-F2-Q4 · question page 1495

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

Local consumer rules may override parts of a policy. What should the owner do?

Answer: C. Check the rules where she operates

Policies must follow law.

- ✗ A. Copy another state's policy: different rules
- ✗ B. Ignore the rules: risky
- ✗ D. Assume her policy always wins: may not

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q5 · question page 1496

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

Which statement is accurate?

Answer: D. A clear policy shared in advance prevents many disputes.

Clarity reduces conflict.

- ✗ A. Policies cause more disputes than they prevent.: not usually
- ✗ B. Exceptions should be random.: should be planned
- ✗ C. Refunds are never required.: rules vary

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q1 · question page 1498

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

What is scope creep?

Answer: B. Extra requests added without changing price or time

Unpriced extras pile up.

- ✗ A. A supplier raising prices every year: not scope creep
- ✗ C. A customer paying an invoice a little early: not scope creep
- ✗ D. A slow increase in the business's advertising budget: not scope creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q2 · question page 1499

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

What is a change order?

Answer: A. A written note of a new request with its cost and time

It records approved changes.

- ✗ B. A new order of supplies placed with a wholesaler: not this meaning
- ✗ C. A refund paid when a customer cancels: not this meaning
- ✗ D. An order to change the company name: not this meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q3 · question page 1500

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

When should the customer approve a change order?

Answer: C. Before the extra work starts

Approve first.

✗ A. Never; approval is not needed: needed

✗ B. Only if the change is free: all changes

✗ D. After the work is finished: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q4 · question page 1501

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

A 1,000-dollar job took 20 hours. Scope creep added 10 unpaid hours. What happened to the hourly earnings?

Answer: A. They fell by one third

50 an hour before; about 33 an hour after.

✗ B. They rose by 10 dollars an hour: no

✗ C. They stayed exactly the same: more hours

✗ D. They doubled because more work was done: no extra pay

Arithmetic checked by code: yes. Sources: none (stable)

S72-M-Q5 · question page 1502

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

Are small favors ever acceptable?

Answer: D. Yes, when decided on purpose

Intentional favors are a choice.

✗ A. Only for strangers: arbitrary

✗ B. No, never under any circumstances: can be fine

✗ C. Yes, always, for every request: creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q1 · question page 1503

ENT.PAY.04 · Adding rooms to a house plan

The third room is like what?

Answer: C. A scope change

It is extra work.

- ✗ A. A tax: no
- ✗ B. The original plan: no
- ✗ D. A discount: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q2 · question page 1504

ENT.PAY.04 · Adding rooms to a house plan

What does a good builder write down?

Answer: D. The extra room, cost and time

A change order captures it.

- ✗ A. Nothing: no
- ✗ B. Only the start date of the room: incomplete
- ✗ C. Only the color: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q3 · question page 1505

ENT.PAY.04 · Adding rooms to a house plan

Without a written note, what can happen?

Answer: C. Free work or a surprise bill

Unclear changes cause conflict.

- ✗ A. Nothing at all: problems
- ✗ B. Faster building by the crew: no
- ✗ D. Lower taxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q4 · question page 1506

ENT.PAY.04 · Adding rooms to a house plan

When does the customer sign?

Answer: B. Before the extra room is started

Approve first.

- ✗ A. After it is built: too late
- ✗ C. Never: needed
- ✗ D. Only when it rains on the site: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q5 · question page 1507

ENT.PAY.04 · Adding rooms to a house plan

The signed note is called what?

Answer: D. A change order

It authorizes the change.

- ✗ A. A deed: no
- ✗ B. A license: no
- ✗ C. A store receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q1 · question page 1508

ENT.PAY.04 · Apply it: write change orders

A designer agreed to 3 logo concepts for 900 dollars. The client asks for 2 more. Each concept takes 4 hours at 50 dollars. What should the change order add?

Answer: A. 400 dollars

2 x 4 x 50 = 400.

- ✗ B. 900 dollars: original
- ✗ C. 100 dollars: hours only
- ✗ D. 200 dollars: one concept

Arithmetic checked by code: yes. Sources: none (stable)

S72-F1-Q2 · question page 1509

ENT.PAY.04 · Apply it: write change orders

Which change order is clearest?

Answer: B. "Add 2 logo concepts, 400 dollars, 4 extra days. Approved: ____"

Specific, priced and approved.

- ✗ A. "Extra work, maybe extra money, maybe not": vague
- ✗ C. "Some more stuff added, and we will figure out the cost later": vague
- ✗ D. "Will do it, do not worry about cost": unpriced

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q3 · question page 1510

ENT.PAY.04 · Apply it: write change orders

A client says "Can you just quickly add a page?" to a website contract. What is the best first step?

Answer: C. Explain it is outside scope and offer a change order

Name the change and price it.

- ✗ A. Add it silently for free each time the client asks: creep
- ✗ B. Refuse to talk about it: unhelpful
- ✗ D. Charge without telling the client: surprise

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q4 · question page 1511

ENT.PAY.04 · Apply it: write change orders

An original job is 2,000 dollars and change orders add 300 and 150 dollars. What is the new total?

Answer: D. 2,450 dollars

2,000 + 300 + 150 = 2,450.

- ✗ A. 450 dollars: changes only
- ✗ B. 2,300 dollars: missed one
- ✗ C. 2,150 dollars: missed one

Arithmetic checked by code: yes. Sources: none (stable)

S72-F1-Q5 · question page 1512

ENT.PAY.04 · Apply it: write change orders

A tiny change takes 5 minutes, and the owner chooses to do it free. What makes this healthy rather than creep?

Answer: B. She decided on purpose and tells the client it is a courtesy

Intentional and communicated.

- ✗ A. She hides it and hopes: unclear
- ✗ C. She charges double later: surprise
- ✗ D. She does every request the client makes for free, always: creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q1 · question page 1513

ENT.PAY.04 · Handle the complications: blurred lines and pushback

A contract says "website design" with no details. Every request seems in scope to the client. What was missing?

Answer: D. A clear list of what is included

Vague scope invites creep.

✗ A. A longer timeline only: not the issue

✗ B. A bigger logo on the contract: irrelevant

✗ C. A lower price: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q2 · question page 1514

ENT.PAY.04 · Handle the complications: blurred lines and pushback

A client refuses to pay for a change order she approved in writing. What supports the owner?

Answer: A. The signed change order

Written approval is evidence.

✗ B. Nothing; approvals do not matter: they do

✗ C. A social media post: weak

✗ D. A memory of a phone call: weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q3 · question page 1515

ENT.PAY.04 · Handle the complications: blurred lines and pushback

Scope creep added 15 hours to a job priced for 30 hours at an effective 40 dollars an hour. What is the new effective rate, to the nearest cent?

Answer: B. 26.67 dollars an hour

1,200 / 45 = 26.67.

✗ A. 20.00 dollars an hour: doubled hours

✗ C. 40.00 dollars an hour: ignored creep

✗ D. 60.00 dollars an hour: wrong direction

Arithmetic checked by code: yes. Sources: none (stable)

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ENT.PAY.04 · Handle the complications: blurred lines and pushback